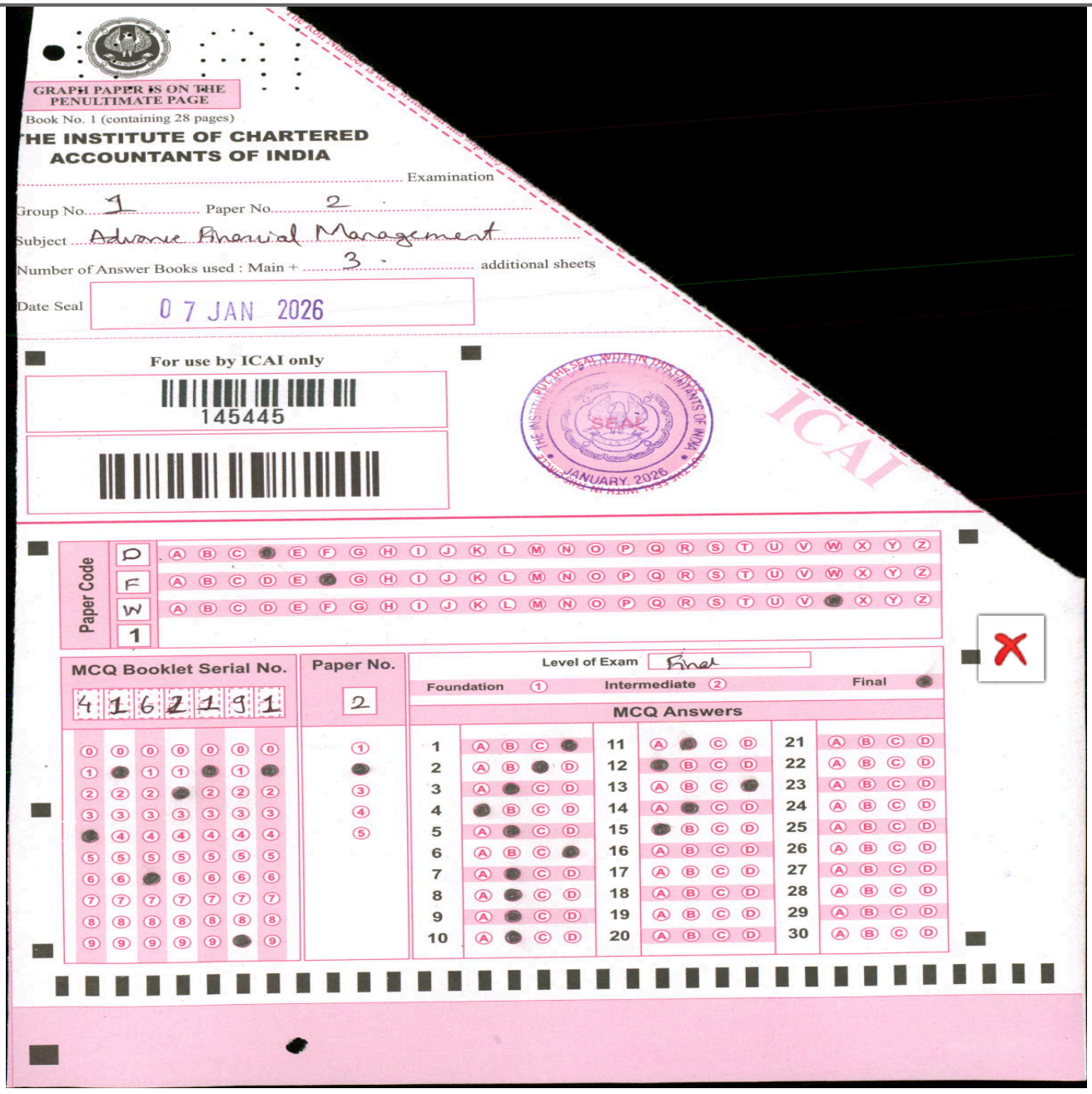
# The Institute of Chartered Accountants of India

| | | | |
|---|---|---|---|
| **Code:** | **FN2AF145445** | **Total Marks:** | **70** |
| **Subject :** | **02 Advanced Financial Management** | **Marks Obtained :** | **46** |



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Examination

Group No. 1 Paper No. 2

Subject Advance Financial Management

Number of Answer Books used : Main + 3 additional sheets

Date Seal 07 JAN 2026

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145445

JANUARY 2026

ICAI

Paper Code: D F W 1

MCQ Booklet Serial No. 4 1 6 2 1 9 1

Paper No. 2

Level of Exam Final

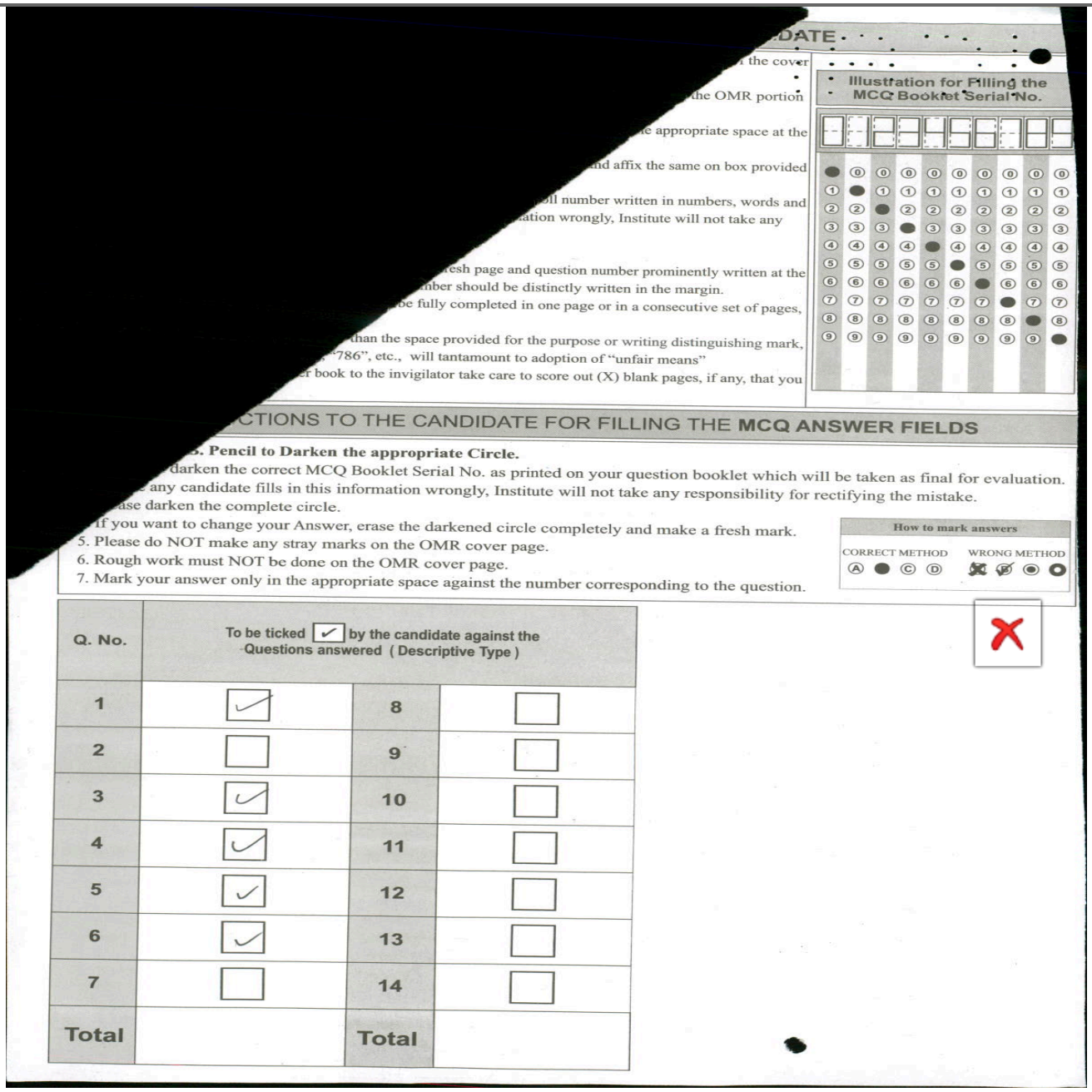
Foundation (1) Intermediate (2) Final

MCQ Answers

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 1 | | 11 | | 21 | | | |
| 2 | | 12 | | 22 | | | |
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# The Institute of Chartered Accountants of India

| | | | |
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| **Code:** | **FN2AF145445** | **Total Marks:** | **70** |
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Illustration for Filling the MCQ Booklet Serial No.

CTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

**. Pencil to Darken the appropriate Circle.**

darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

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ase darken the complete circle.

If you want to change your Answer, erase the darkened circle completely and make a fresh mark.

5. Please do NOT make any stray marks on the OMR cover page.

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7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD Ⓐ ● Ⓒ Ⓓ

WRONG METHOD ⊗ ⊘ ◉ ○

| Q. No. | To be ticked ☑ by the candidate against the Questions answered ( Descriptive Type ) | | |
|---|---|---|---|
| 1 | ☑ | 8 | ☐ |
| 2 | ☐ | 9 | ☐ |
| 3 | ☑ | 10 | ☐ |
| 4 | ☑ | 11 | ☐ |
| 5 | ☑ | 12 | ☐ |
| 6 | ☑ | 13 | ☐ |
| 7 | ☐ | 14 | ☐ |
| Total | | Total | |

03

Q3]

a] Purchase May Future @ 7750.
(125 shares lot)

Writes Call for May @ 7790. [125 shares per lot]
Receives premium = ₹30 × 125 shares
= ₹3750

On May 18,
Future = 7780.

Call = ₹36.

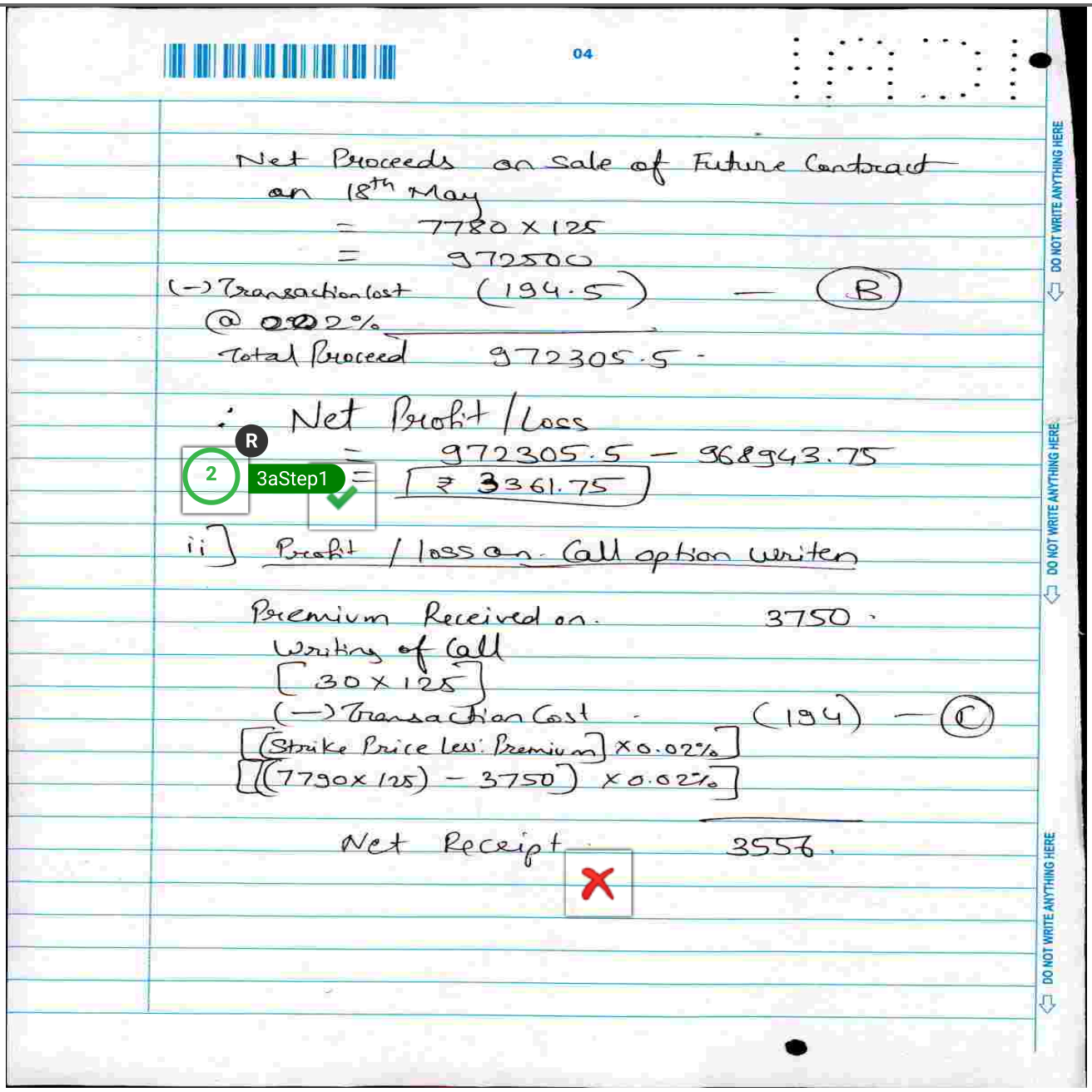
Brokerage = ~~0.02%~~ 0.02% [per transaction]

Note:
Assumed: Brokerage is applicable on both Purchase & sale transaction in case of both Call & Future.

i] Profit / loss on Future net of transaction cost

Purchase Amount = 7750 × 125
= 968750.
Add: Transaction Cost @ 0.02% 193.75 — (A)
Total Cost. ₹ 96894375.

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04

Net Proceeds on sale of Future Contract on 18th May
= 7780 x 125
= 972500
(-) Transaction cost (194.5) — (B)
@ 0.02%
Total Proceed 972305.5

∴ Net Profit / Loss
= 972305.5 − 968943.75
= ₹ 3361.75

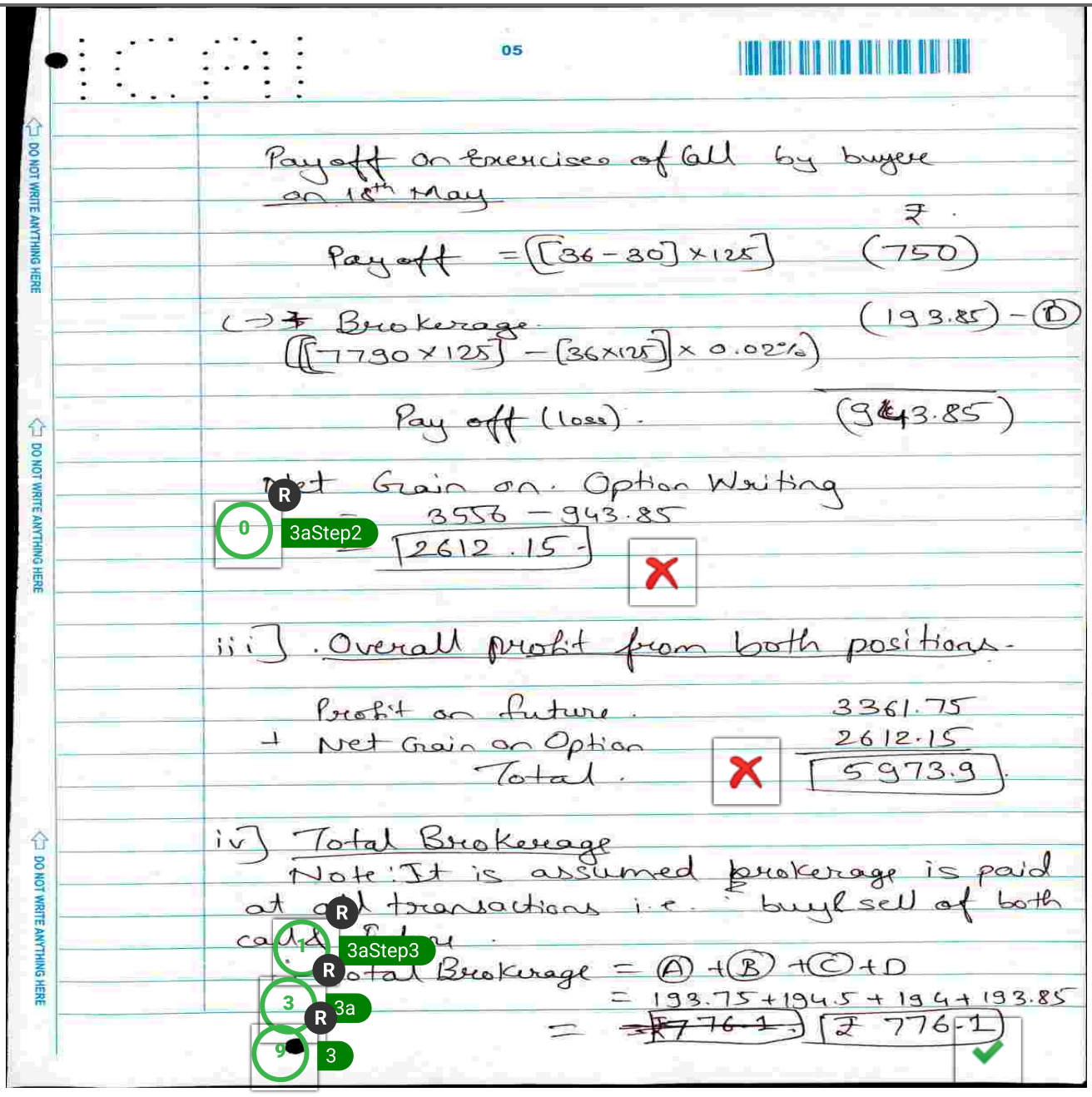
ii] Profit / loss on Call option writen

Premium Received on Writing of Call [30 x 125] 3750
(-) Transaction Cost (194) — (C)
[Strike Price less Premium] x 0.02%
[(7790 x 125) − 3750] x 0.02%

Net Receipt 3556

R
2 3aStep1

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05

Payoff on Exercises of Call by buyers on 18th May

| | ₹ |
|---|---|
| Payoff = [[36 − 30] × 125] | (750) |
| (→) Brokerage. [[7790 × 125] − [36 × 125] × 0.02%] | (193.85) − (D) |
| Pay off (loss). | (943.85) |

Net Gain on Option Writing
3556 − 943.85
2612.15

R 0 3aStep2

ii] Overall profit from both positions.

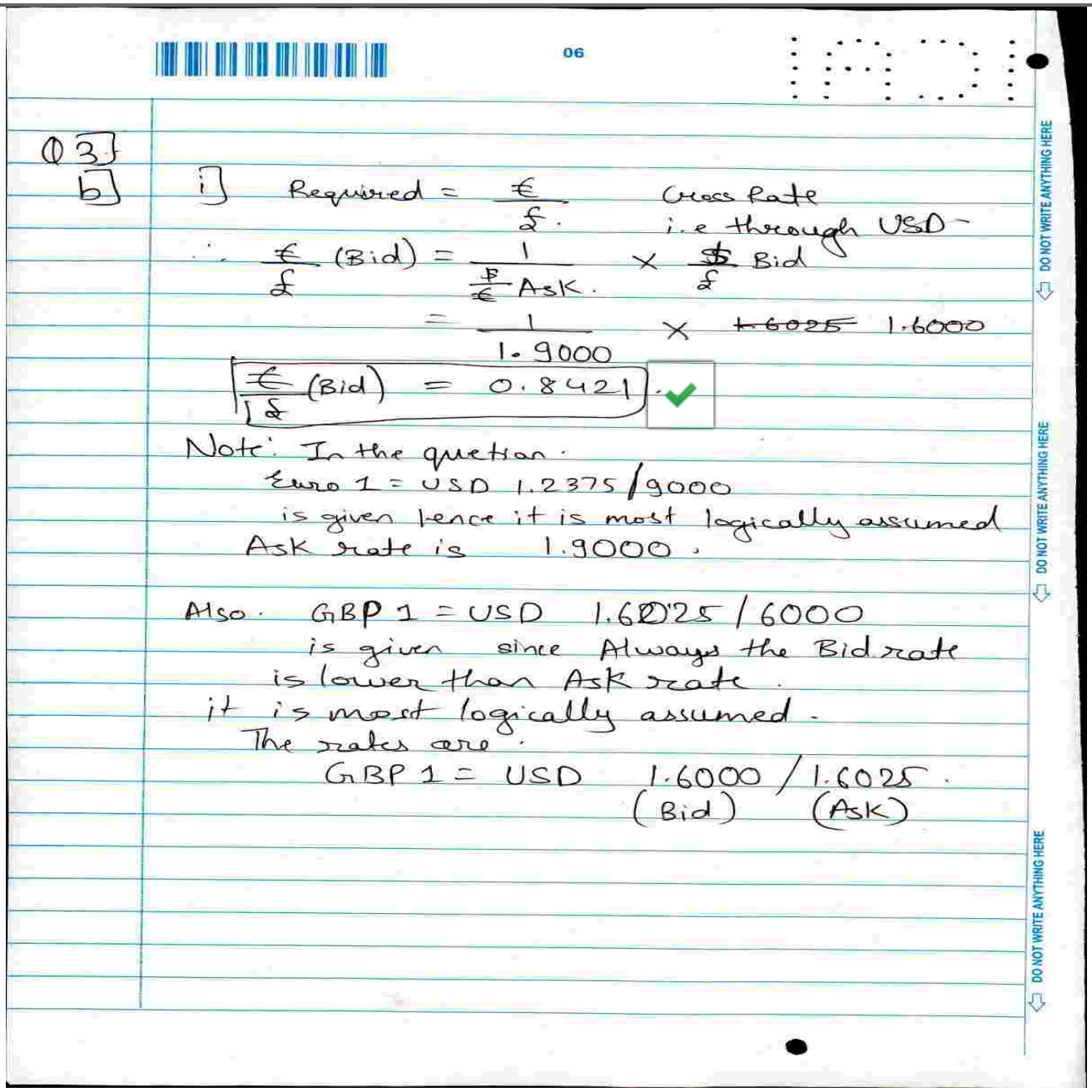
| | |
|---|---|
| Profit on future. | 3361.75 |
| + Net Gain on Option | 2612.15 |
| Total. | 5973.9 |

iv] Total Brokerage
Note: It is assumed brokerage is paid at all transactions i.e. buy & sell of both cash & future.

R 1 3aStep3
R 3 3a
9 3

Total Brokerage = (A) + (B) + (C) + D
= 193.75 + 194.5 + 194 + 193.85
= ~~₹ 776.1~~ ₹ 776.1

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06

Q 3]

b] i] Required = $\frac{€}{£}$. Cross Rate i.e through USD -

$\frac{€}{£}$ (Bid) = $\frac{1}{\frac{£}{€}\text{ Ask}}$ × $\frac{\$}{£}$ Bid

= $\frac{1}{1.9000}$ × ~~1.6025~~ 1.6000

$\frac{€}{£}$ (Bid) = 0.8421 ✓

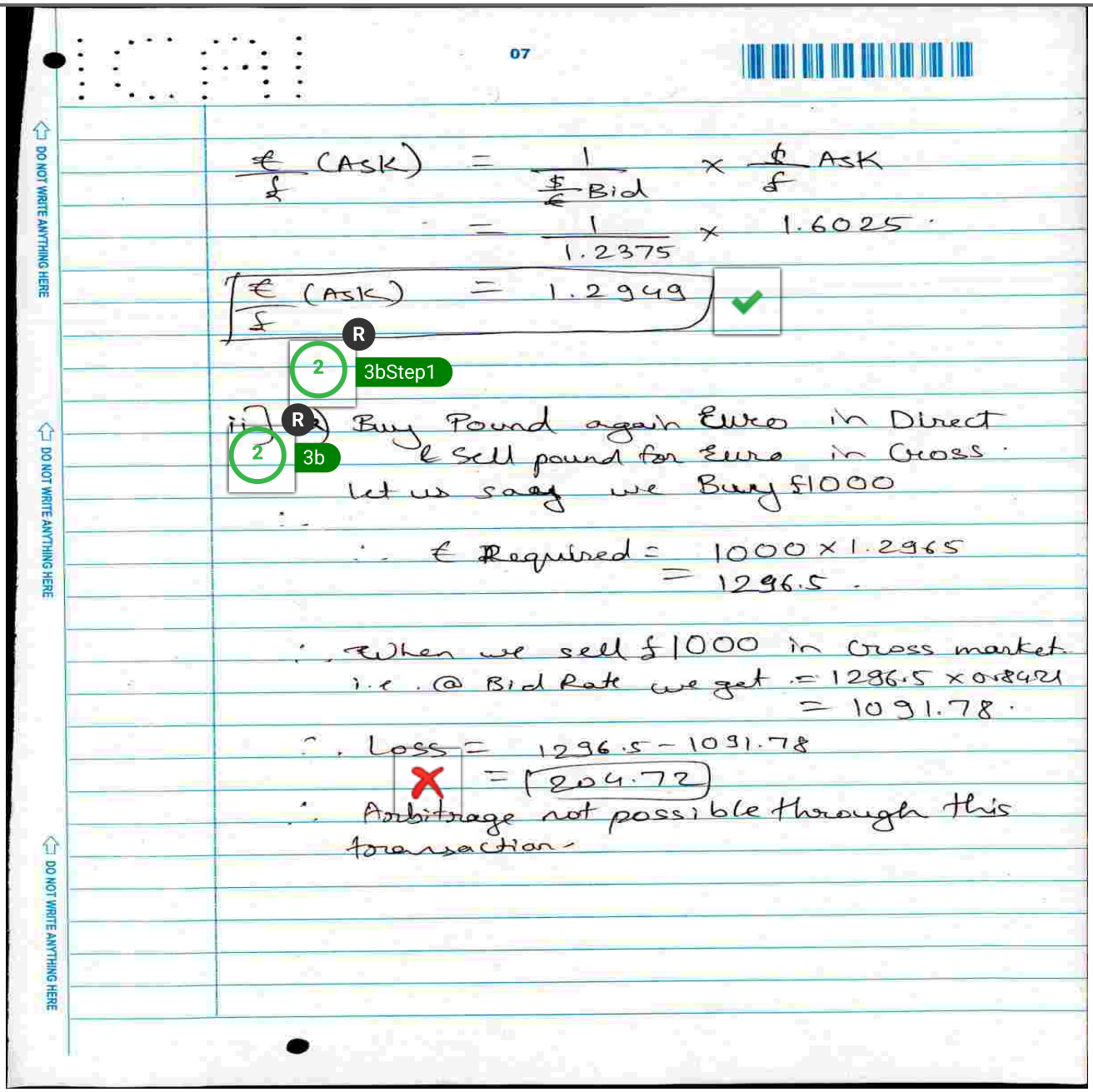
Note: In the question:
Euro 1 = USD 1.2375/9000
is given hence it is most logically assumed Ask rate is 1.9000.

Also. GBP 1 = USD 1.6025/6000
is given since Always the Bid rate is lower than Ask rate.
it is most logically assumed.
The rates are:
GBP 1 = USD 1.6000 / 1.6025.
(Bid) (Ask)

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07

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$\frac{€}{£}$ (Ask) $= \frac{1}{\frac{\$}{€}\text{ Bid}} \times \frac{\$}{£}$ Ask

$= \frac{1}{1.2375} \times 1.6025$

$\frac{€}{£}$ (Ask) $= 1.2949$ ✓

R 2 3bStep1

ii) R 2 3b Buy Pound again Euro in Direct & Sell pound for Euro in Cross.

Let us say we Buy £1000

∴ € Required = $1000 \times 1.2965$
= 1296.5.

∴ When we sell £1000 in Cross market i.e. @ Bid Rate we get = $1296.5 \times 0.8421$
= 1091.78.

∴ Loss = $1296.5 - 1091.78$
= 204.72 ✗

∴ Arbitrage not possible through this transaction.

08

b) Sell Pound for Euro in direct & Buy Pound against Euro in Cross.

∴ if we sell £1000 pound we get

= £1000 x €1.2950/£

= €1295

If we sell €1295 in cross rate @ ASK we get

$= \frac{1295}{1.2949}$

= £1000

∴ There is no profit or loss.

∴ Arbitrage is not possible through this transaction as well.

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09

c] ~~Actions~~ Political risk is the risk faced by overseas investor due to adverse action of host government -

Actions of Host country's government that signal political risk are :

i] Confiscation of overseas property ✔

ii] Restriction on Borrowings ✔

iii] Restriction on Repatriation to home country ✔

iv] Restriction on foreign currency conversion.

v] Price control of product ✔

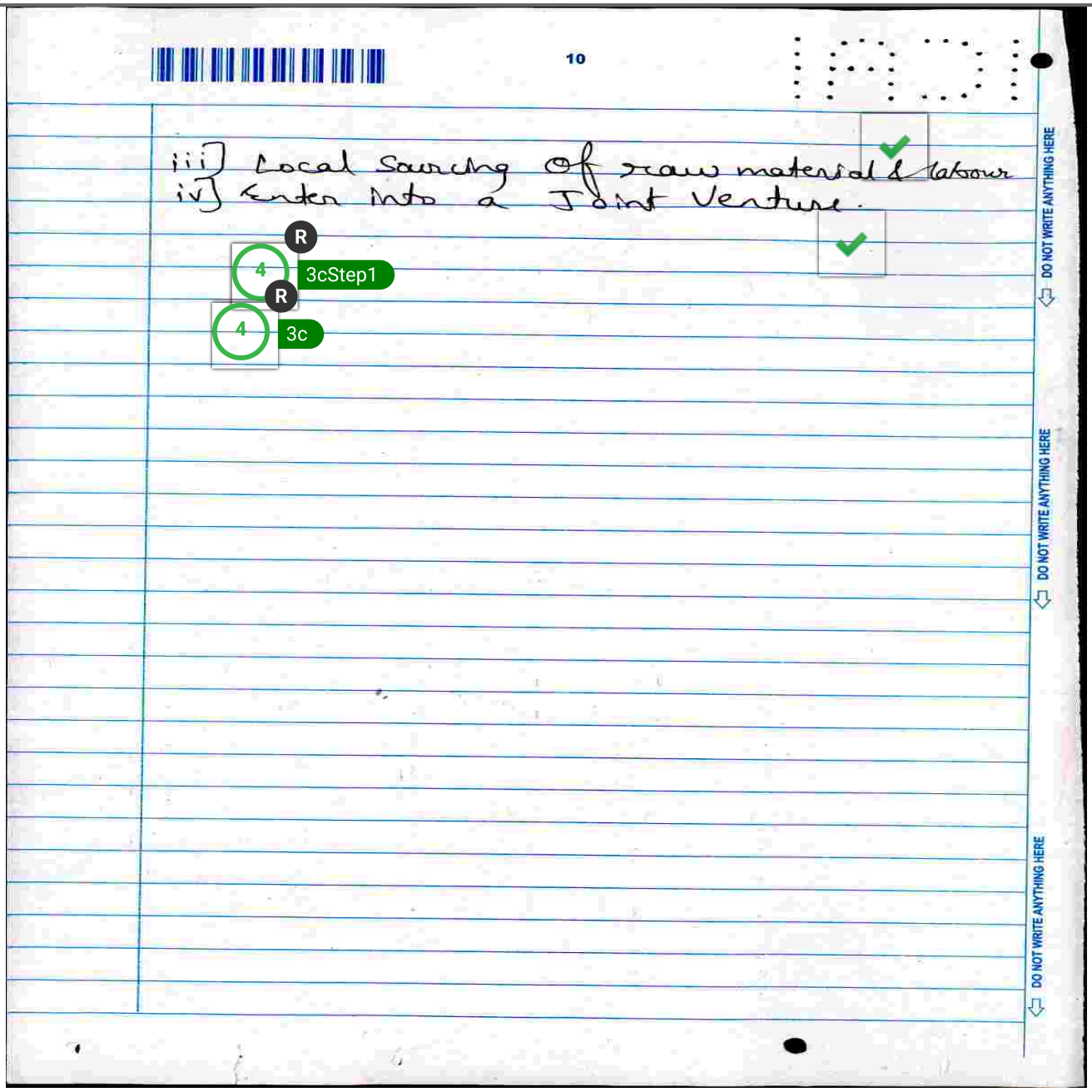
~~Such risk can be assessed by~~ :

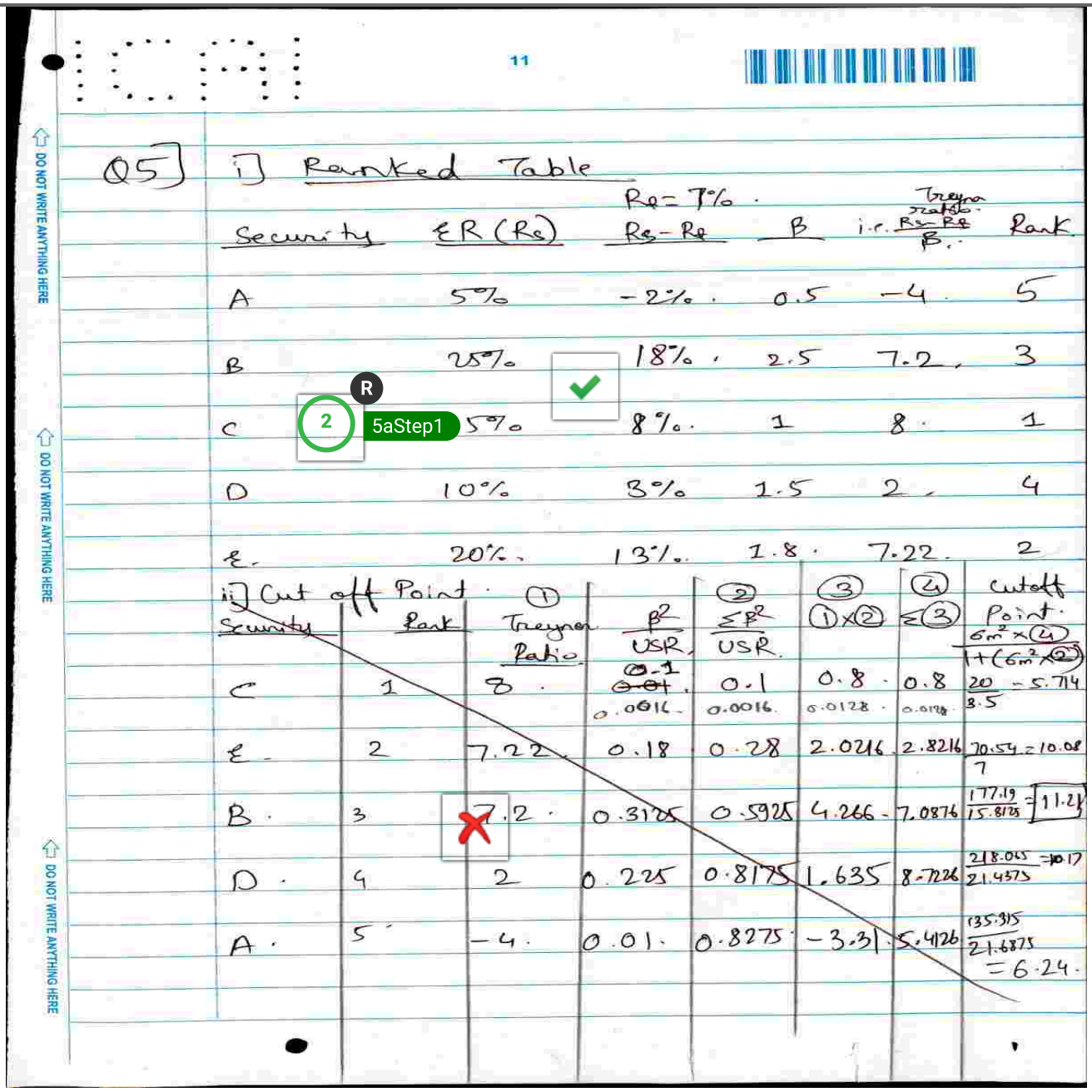
i] Referring Political ranking in magazines
ii] Advise from Embassies
iii] Checking Macroeconomic conditions
iv] Assessing popularity of ~~go~~ current government

Mitigating Measures are as follows :
i] Local financing / borrowing ✔
ii] Enter into prior Negotiations ✔

(4)

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10
iii] Local Sourcing of raw material & labour
iv] Enter into a Joint Venture.
R
4
3cStep1
R
4
3c
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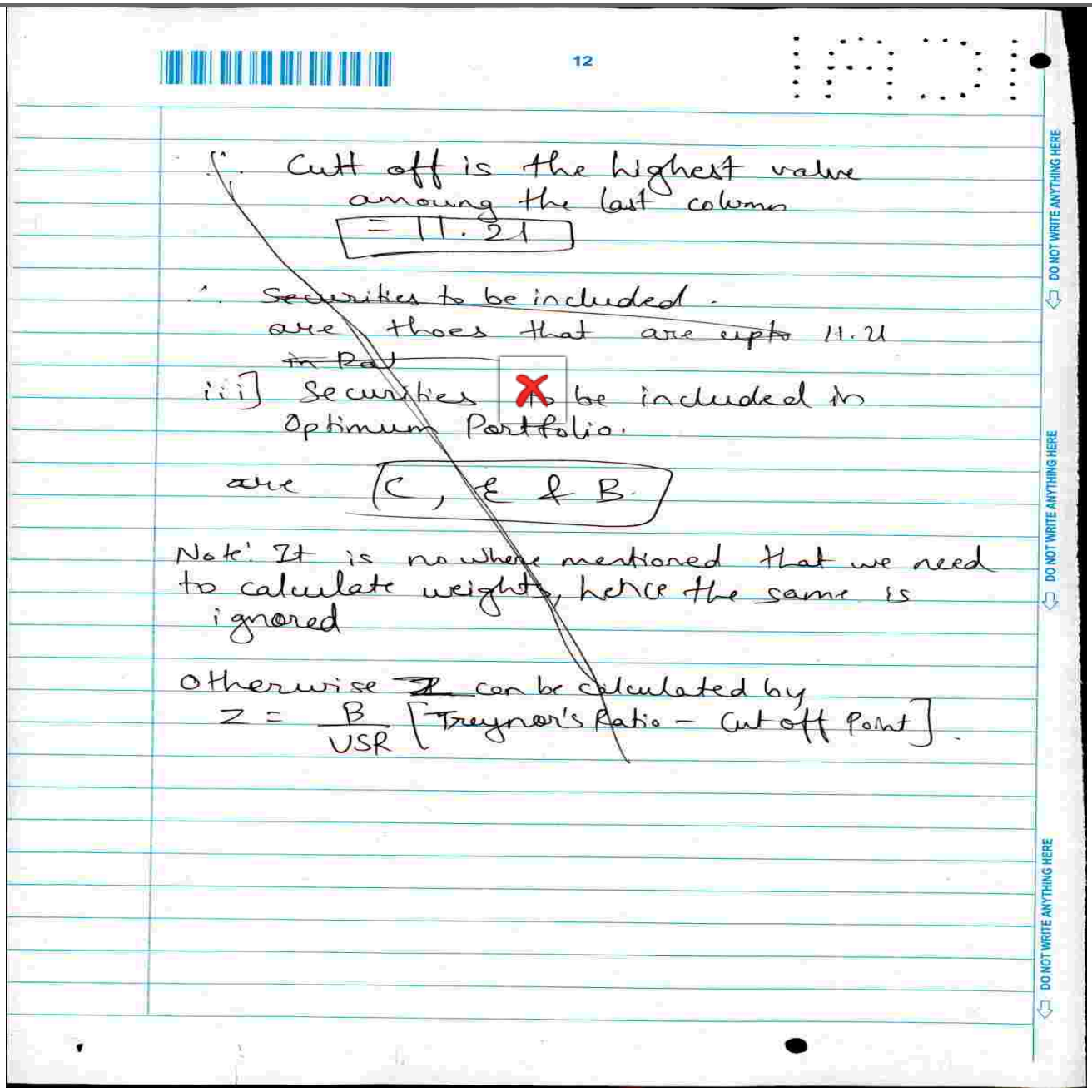
Q5] i] Ranked Table

$R_f = 7\%$

| Security | ER ($R_s$) | $R_s - R_f$ | $\beta$ | i.e. $\frac{R_s - R_f}{\beta}$ | Rank |
|---|---|---|---|---|---|
| A | 5% | -2% | 0.5 | -4 | 5 |
| B | 25% | 18% | 2.5 | 7.2 | 3 |
| C | 15% | 8% | 1 | 8 | 1 |
| D | 10% | 3% | 1.5 | 2 | 4 |
| E | 20% | 13% | 1.8 | 7.22 | 2 |

ii] Cut off Point

| Security | Rank | ① Treynor Ratio | $\frac{\beta^2}{USR}$ | $\frac{\Sigma\beta^2}{USR}$ | ③ ①×② | ④ Σ③ | Cutoff Point $\frac{6m^2 \times ④}{1+(6m^2 \times ②)}$ |
|---|---|---|---|---|---|---|---|
| C | 1 | 8 | $\frac{0.1}{0.01}$ = 0.0016 | 0.0016 | 0.0128 | 0.0128 | $\frac{20}{3.5} = 5.714$ |
| E | 2 | 7.22 | 0.18 | 0.28 | 2.0216 | 2.8216 | $\frac{70.54}{7} = 10.08$ |
| B | 3 | 7.2 | 0.3125 | 0.5925 | 4.266 | 7.0876 | $\frac{177.19}{15.8125} = 11.2$ |
| D | 4 | 2 | 0.225 | 0.8175 | 1.635 | 8.7226 | $\frac{218.045}{21.4375} = 10.17$ |
| A | 5 | -4 | 0.01 | 0.8275 | -3.31 | 5.4126 | $\frac{135.315}{21.6875} = 6.24$ |



12

∴ Cutt off is the highest value among the last column
= 11.21

∴ Securities to be included are thoes that are upto 11.21 ~~in Rs~~

iii] Securities ~~A~~ to be included in Optimum Portfolio.

are C, E & B.

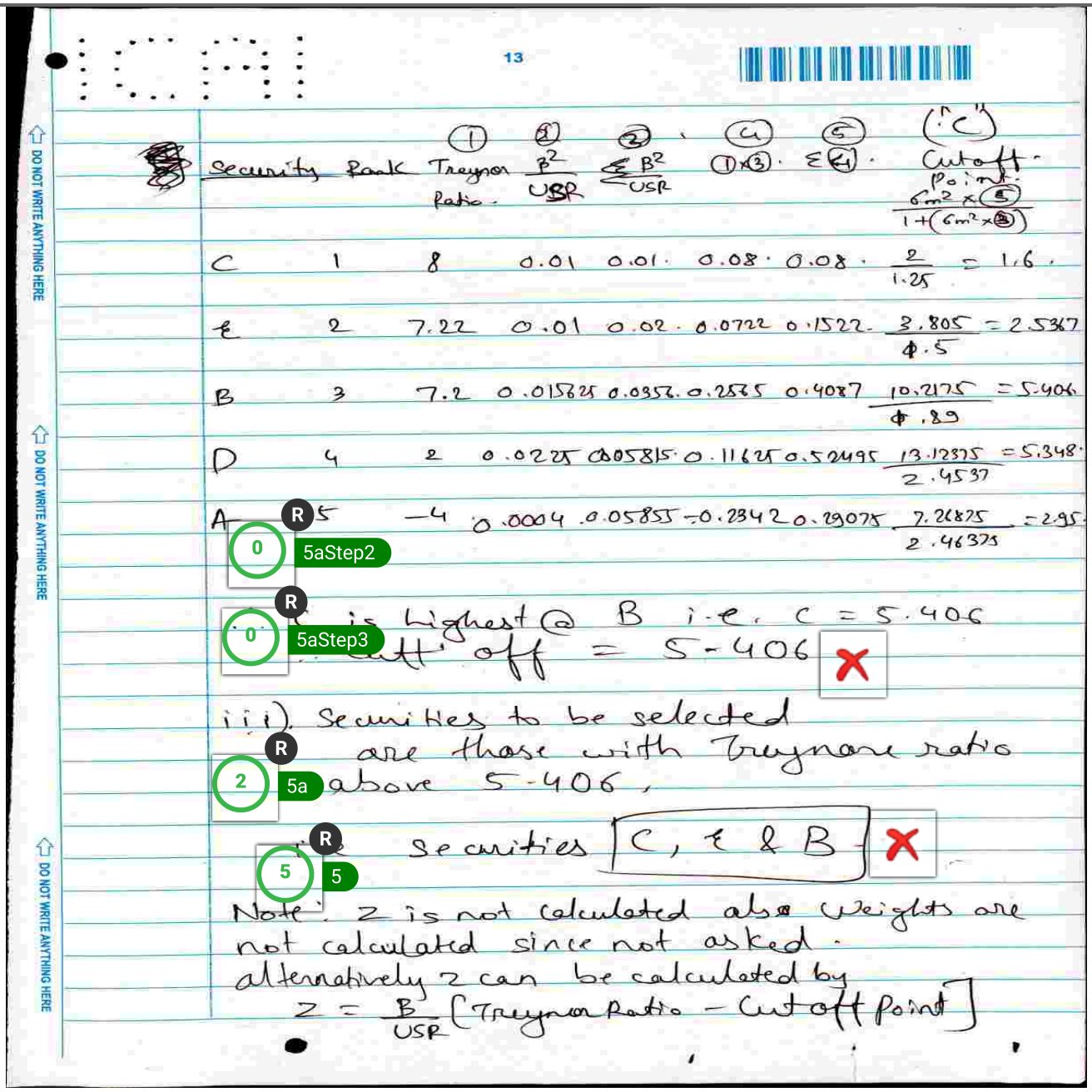
Note: It is no where mentioned that we need to calculate weights, hence the same is ignored

Otherwise ~~Z~~ can be calculated by
$Z = \frac{B}{USR}$ [Treynor's Ratio − Cut off Point].

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13

| Security | Rank | Treynor Ratio (1) | $\beta^2$ (2) | $\sigma_{ei}^2$ (3) | (1)×(3) (4) | $\Sigma$(4) (5) | Cut-off Point $\frac{\sigma_m^2 \times (5)}{1+(\sigma_m^2 \times (3))}$ ('C') |
|---|---|---|---|---|---|---|---|
| C | 1 | 8 | 0.01 | 0.01 | 0.08 | 0.08 | $\frac{2}{1.25} = 1.6$ |
| E | 2 | 7.22 | 0.01 | 0.02 | 0.0722 | 0.1522 | $\frac{3.805}{\Phi.5} = 2.5367$ |
| B | 3 | 7.2 | 0.015825 | 0.0358 | 0.2585 | 0.4087 | $\frac{10.2175}{\Phi.89} = 5.406$ |
| D | 4 | 2 | 0.0225 | 0.05815 | 0.11625 | 0.52495 | $\frac{13.12375}{2.4537} = 5.348$ |
| A | 5 | −4 | 0.0004 | 0.05855 | −0.2342 | 0.29075 | $\frac{7.26825}{2.46325} = 2.95$ |

R 0 5aStep2

R 0 5aStep3 E is highest @ B i.e. C = 5.406
Cut off = 5-406 ✗

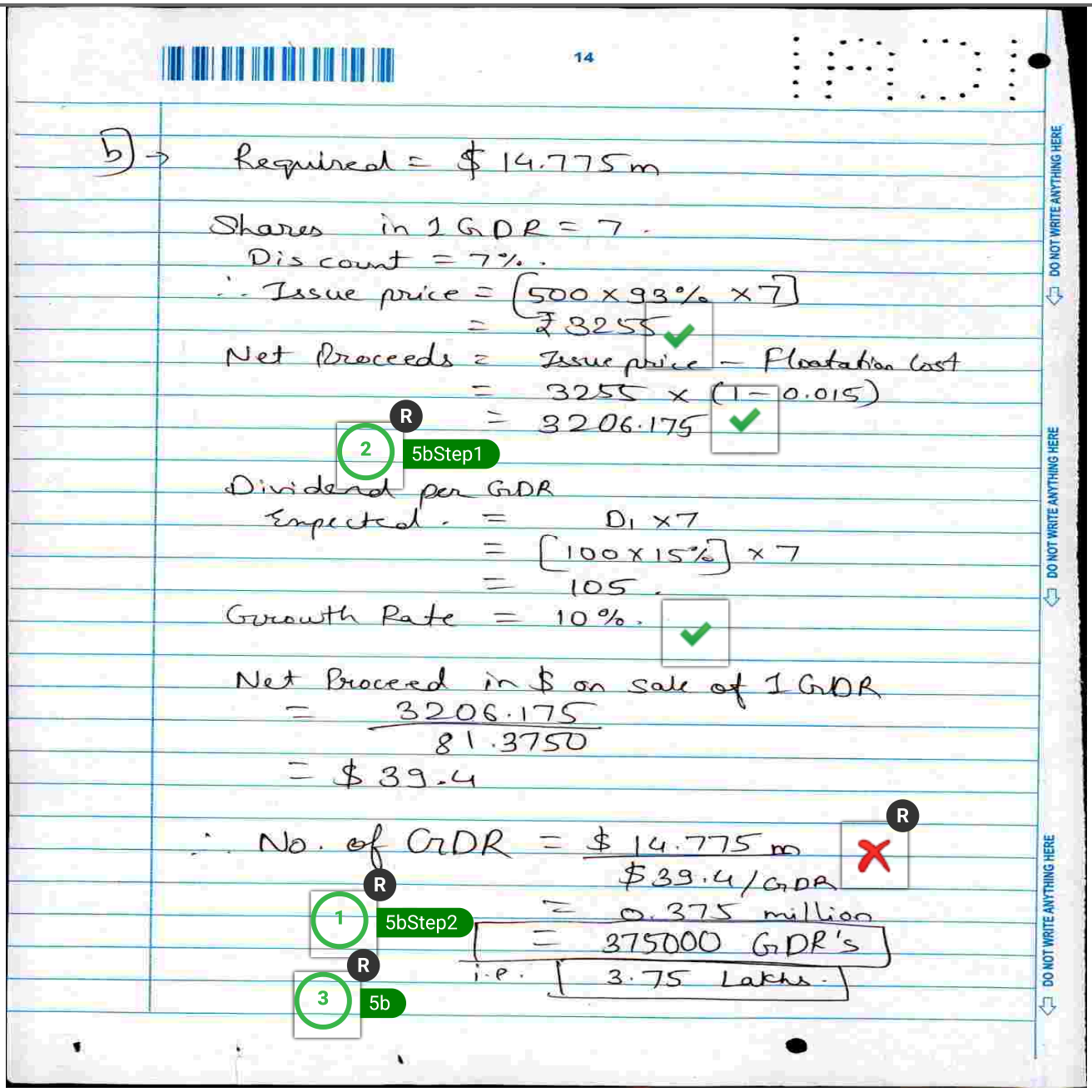
iii) Securities to be selected are those with Treynor ratio above 5-406,

R 2 5a

R 5 5 Securities C, E & B ✗

Note: Z is not calculated also weights are not calculated since not asked.
alternatively Z can be calculated by
$Z = \frac{\beta}{\sigma_{ei}^2}$ [Treynor Ratio − Cut off Point]

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14

b) → Required = $ 14.775 m

Shares in 1 GDR = 7.
Discount = 7%.
∴ Issue price = [500 × 93% × 7]
= ₹ 3255 ✓
Net Proceeds = Issue price − Floatation cost
= 3255 × (1 − 0.015)
= 3206.175 ✓

R 2 5bStep1

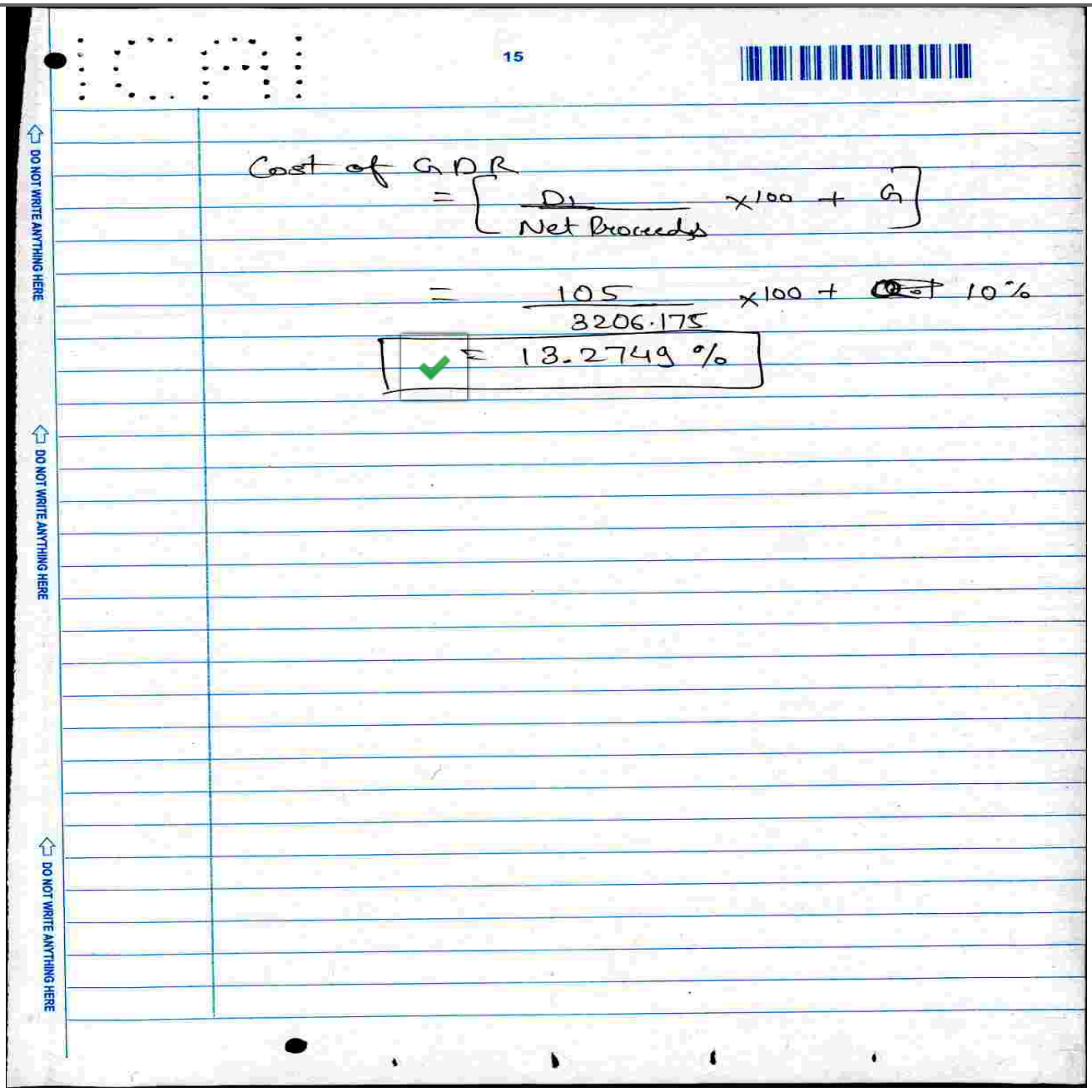
Dividend per GDR
Expected. = $D_1 \times 7$
= [100 × 15%] × 7
= 105.
Growth Rate = 10%. ✓

Net Proceed in $ on sale of 1 GDR
= 3206.175 / 81.3750
= $ 39.4

∴ No. of GDR = $ 14.775 m / $ 39.4/GDR ✗ R
= 0.375 million
= 375000 GDR's
i.e. 3.75 Lakhs.

R 1 5bStep2
R 3 5b

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15

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Cost of GDR

$$= \left[\frac{D_1}{\text{Net Proceeds}} \times 100 + G\right]$$

$$= \frac{105}{3206.175} \times 100 + 10\%$$

$$= 13.2749\ \%$$

16

Q6]

b]

PVCI = 500 lakhs. = Spot.

Payoff

P → 600 lakh

500

1-P → 350 lakhs. 100 lakhs

Exercise Price = 450 lakh

$R_f$ = 8%

Note: In absence of Information it is assumed the time frame is 1 year.

∴ Risk Neutral probability

$500 \times 1.08 = 600P + (1-P)350$

$540 = 600P - 350P + 350.$

$190 = 250P$

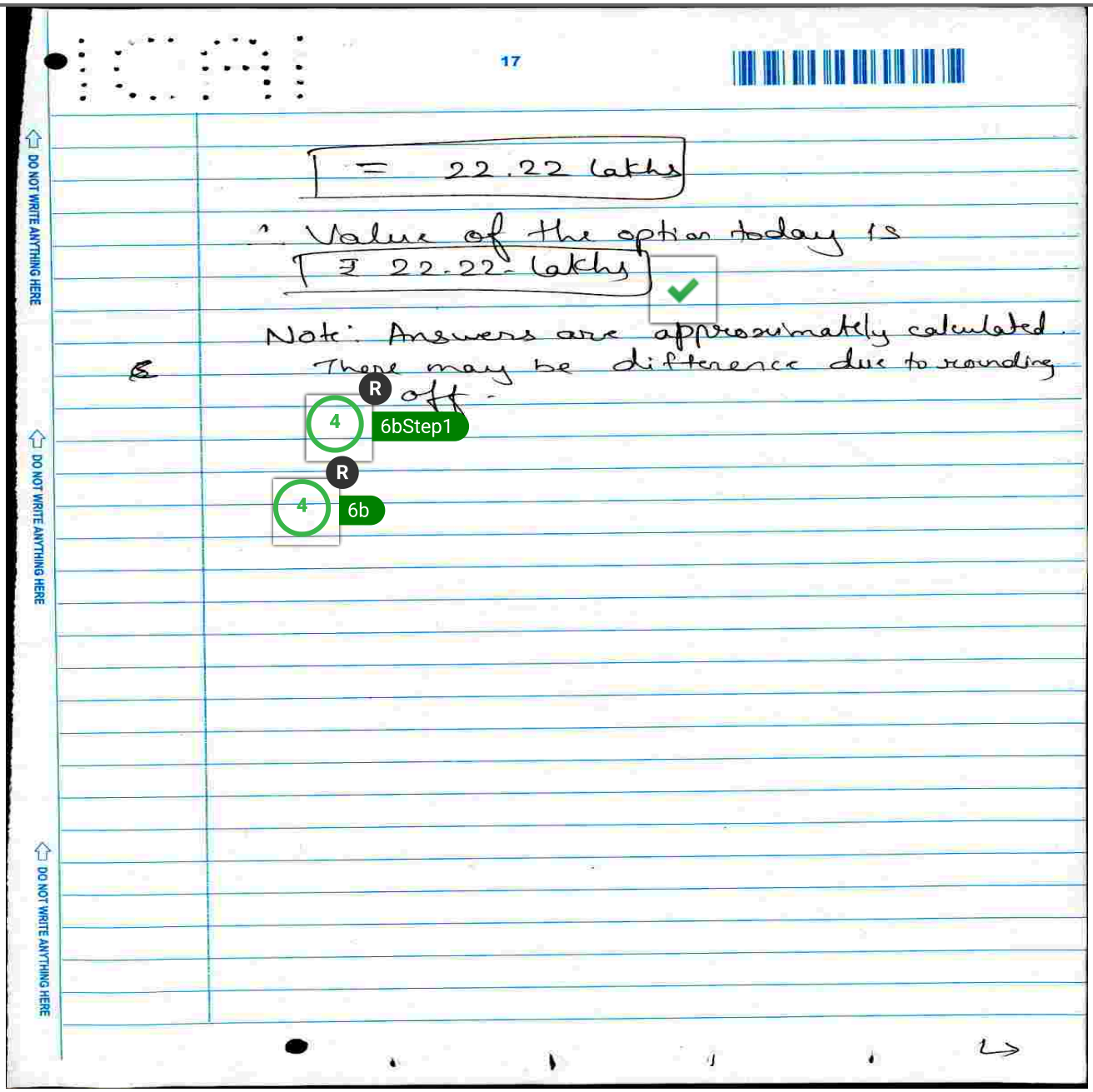
$P = 0.76$

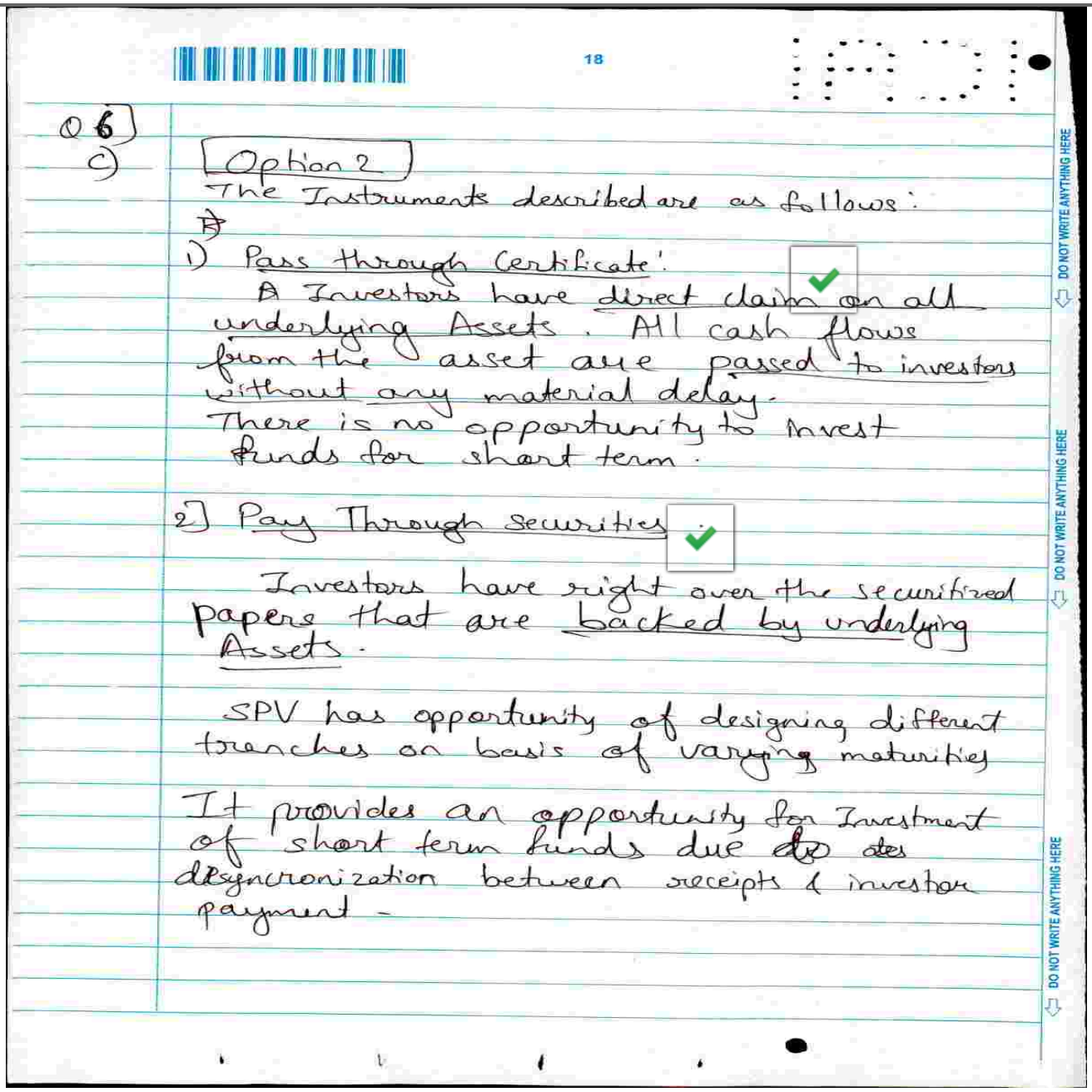
$\therefore 1-P = 0.24.$

∴ Value of Abandonment option = $\frac{\text{Payoff} \times \text{Probability}}{1 + R_e}$

$= \frac{0.24 \times 100L}{1.08}$

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17
= 22.22 lakhs
∴ Value of the option today is
₹ 22.22 lakhs
Note: Answers are approximately calculated. There may be difference due to rounding off.
R
4
6bStep1
R
4
6b
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DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



18

Q 6]
c) Option 2

The Instruments described are as follows:

1) Pass through Certificate:
A Investors have direct claim on all underlying Assets. All cash flows from the asset are passed to investors without any material delay.
There is no opportunity to invest funds for short term.

2] Pay Through securities

Investors have right over the securitized papers that are backed by underlying Assets.

SPV has opportunity of designing different tranches on basis of varying maturities

It provides an opportunity for Investment of short term funds due to desynchronization between receipts & investor payment -

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19

3] Striped Securities

In this, all cashflows are divided into 2 securities.

i] Interest only: Investors receive all the cash flow related to interest payment.

ii] Principal only: Investors receive all cash flow related to principal payment.

If Market YTM increases, value of principal only security decreases & vice versa.

If Market YTM increases, value of Interest only security Increases & vice versa.

R 3 6cStep1

R 3 6c

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Q6]
a)

Issue date = 01/06/2024.
FV = ₹10

Subscription = 180 lakh unit.
Underwritten Units = 200 lakh units.

∴ Actual issue = 200 lakh units

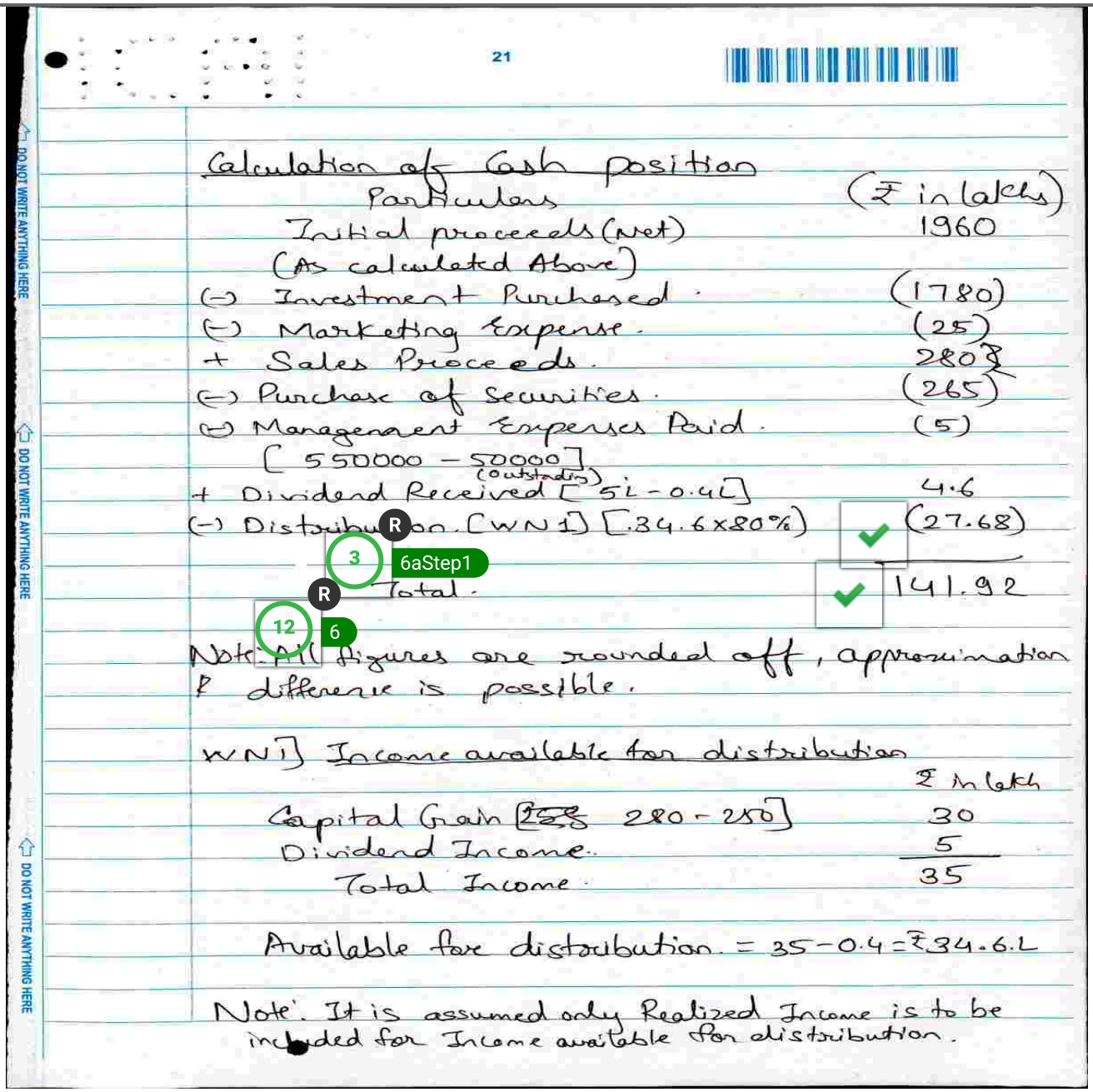
Underwriting Commission = 2%
i.e. 200 lakh × ₹10/unit × 2%
= ₹40 lakhs.

∴ Net Proceeds = ~~200×10~~
= [200 lakh × 10] − 40 lakh
= ₹1960 lakhs

Net Asset Held as on 31/3/2025.

| | (₹ in lakhs) |
|---|---|
| Value of Investment Portfolio. | ~~2125~~ 2150.5 |
| + Dividend Receivable. | 0.4 |
| + Cash Balance (as calculated ahead) | 141.92 |

→ Outstanding Management Expenses. (0.5)
Net Assets. 2292.32
No. of Units. 200
(Rounded off) NAV Per Unit. 11.46



21

Calculation of Cash position

| Particulars | (₹ in lakhs) |
|---|---|
| Initial proceeds (Net) (As calculated Above) | 1960 |
| (-) Investment Purchased. | (1780) |
| (-) Marketing Expense. | (25) |
| + Sales Proceeds. | 280 |
| (-) Purchase of securities. | (265) |
| (-) Management Expenses Paid. [550000 - 50000 (outstanding)] | (5) |
| + Dividend Received [5L - 0.4L] | 4.6 |
| (-) Distribution. [WN1] [34.6 x 80%] | (27.68) |
| Total. | 141.92 |

3 6aStep1 R

12 6 R

Note: All figures are rounded off, approximation & difference is possible.

WN1] Income available for distribution

| | ₹ in lakh |
|---|---|
| Capital Gain [280 - 250] | 30 |
| Dividend Income. | 5 |
| Total Income. | 35 |

Available for distribution. = 35 - 0.4 = ₹34.6 L

Note: It is assumed only Realized Income is to be included for Income available for distribution.

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22

Alternatively

It can be assumed that full 5 L dividend is to be included for calculation of distribution

in which case Income available for distribution = 35L.

∴ Distribution = 35L × 80%
= 28L.

∴ Cash Balance = 141.92 + 0.32L
= 142.24.

In which case Total NAV will be
= (2292.32 + 0.32) lakhs
= 2292.64

NAV per unit would be = $\frac{2292.64}{200}$

= ₹11.46/unit

∴ If assumed Dividend yet to be realized is not included in distribution -
NAV = 11.46.
& if assumed is to be included -
NAV = 11.46.

DO NOT WRITE ANYTHING HERE

Q1

c]

1] Call option Bought Lot size = 150sh.
EP = ₹620
Maturity = 3m.
Premium paid = ₹42/sh.
∴ Total Premium paid = ₹42 × 150
on Call. = ₹6300.

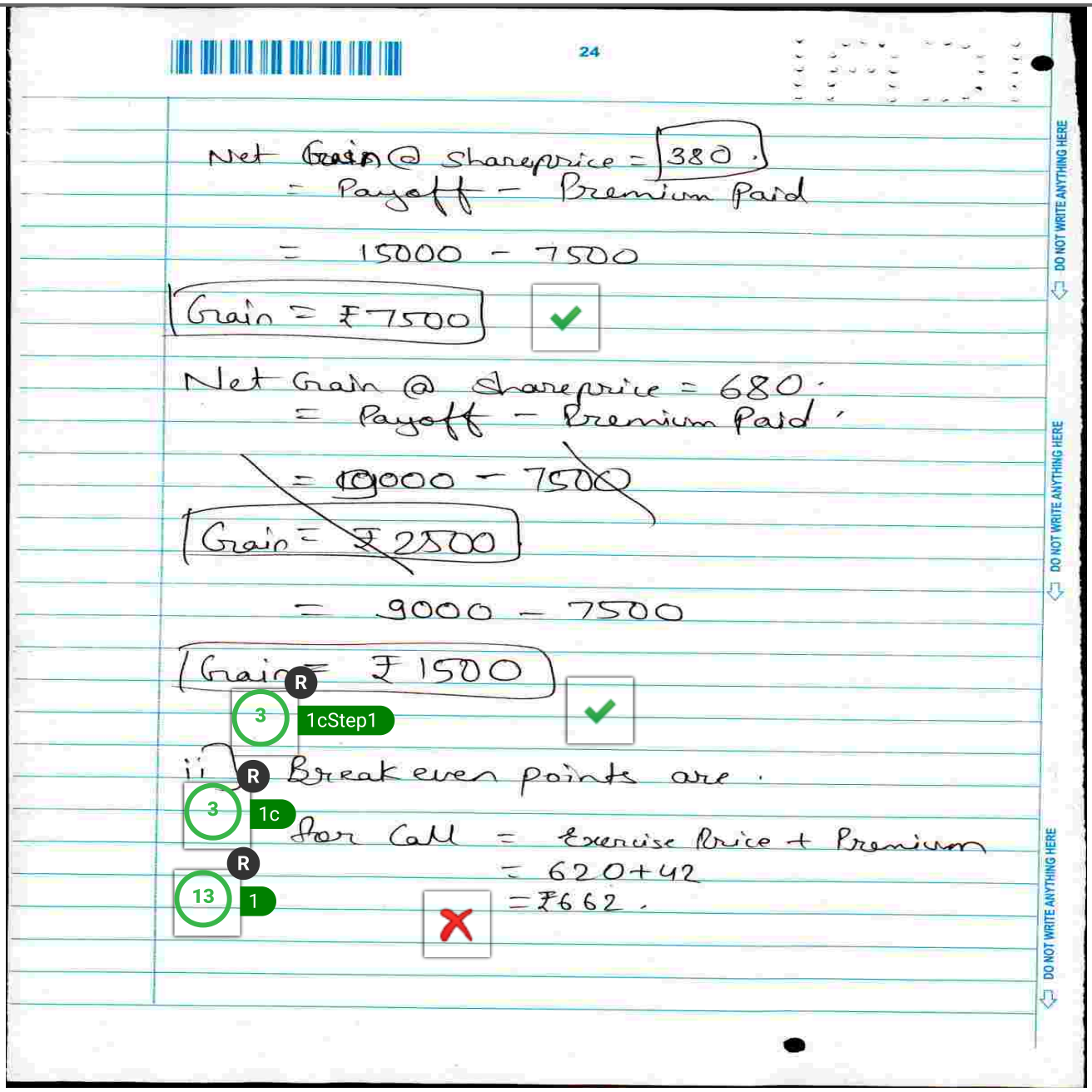
2] Put option Bought lot size = 150sh
EP = ₹480.
Maturity = ~~₹480~~ 3m.
Premium paid = ₹8/sh.
∴ Total Premium paid = ₹8 × 150
= ₹1200

i) Calculation of Net Profit & loss.

| Share Price | Exercised Call (620) | Exercised Put (480) | Payoff Call | Payoff Put | Total (Payoff × 150) |
|---|---|---|---|---|---|
| 550. | No. | No. | — | — | — |
| 380. | No | Yes | — | 100. | 15000. |
| 680. | Yes | No. | 60 | — | 9000. |

∴ Net loss @ Share price = ₹550 = 0 − Premium Paid
= 0 − 6300 − 1200
= 7500

Loss



24

Net Gain @ Shareprice = 380.
= Payoff − Premium Paid

= 15000 − 7500

Gain = ₹7500 ✔

Net Gain @ Shareprice = 680.
= Payoff − Premium Paid.

= 9000 − 7500

Gain = ₹1500

= 9000 − 7500

Gain = ₹1500 ✔

R 3 1cStep1

ii) R 3 1c Break even points are.

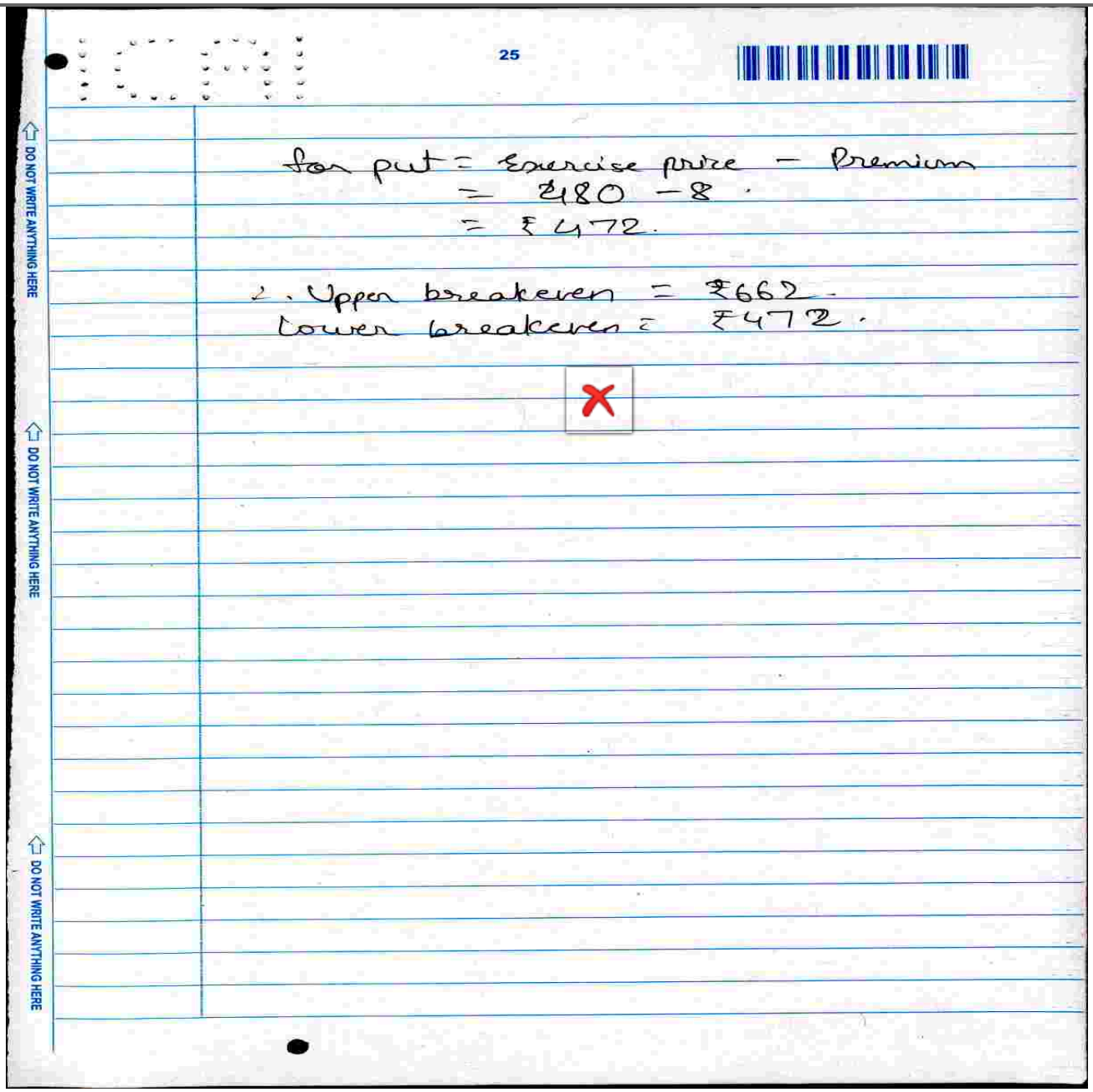
for Call = Exercise Price + Premium
= 620+42
= ₹662.

R 13 1 ✘

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25

for put = Exercise price − Premium
= ₹480 − 8.
= ₹472.

2. Upper breakeven = ₹662.
Lower breakeven = ₹472.

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|---|---|---|---|
| **Code:** | **FN2AF145445** | **Total Marks:** | **70** |
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Q1

5] Promoter holding = 84% = 126 lakh shares

∴ Freefloat = 16% = 24 lakh shares [126L/84% × 16%]

PAT = ₹ 9.6 cr.

Total No. of Shares = 126L + 24L = 150 lakhs.

Freefloat market cap = 38.40 crores.

∴ Total Market Capitalization (Cap) = 38.4 cr / 16%

= 240 cr.

(i) P/E Ratio = Total Market Capitalization / PAT

= 240 cr / 9.6 cr

✔ P/E = 25

ii] Promoter holding required = 75%.

∴ Total No. of Shares if promoter continue to hold 126 lakh shares = 126L / 75%

= 168L.

∴ Bonus shares to be issued to minority = 168L − 150L

= 18 Lakh.

∴ Bonus Ratio = 18 lakh : 24 lakh.

= 0.75 sh for 1 held.

✔

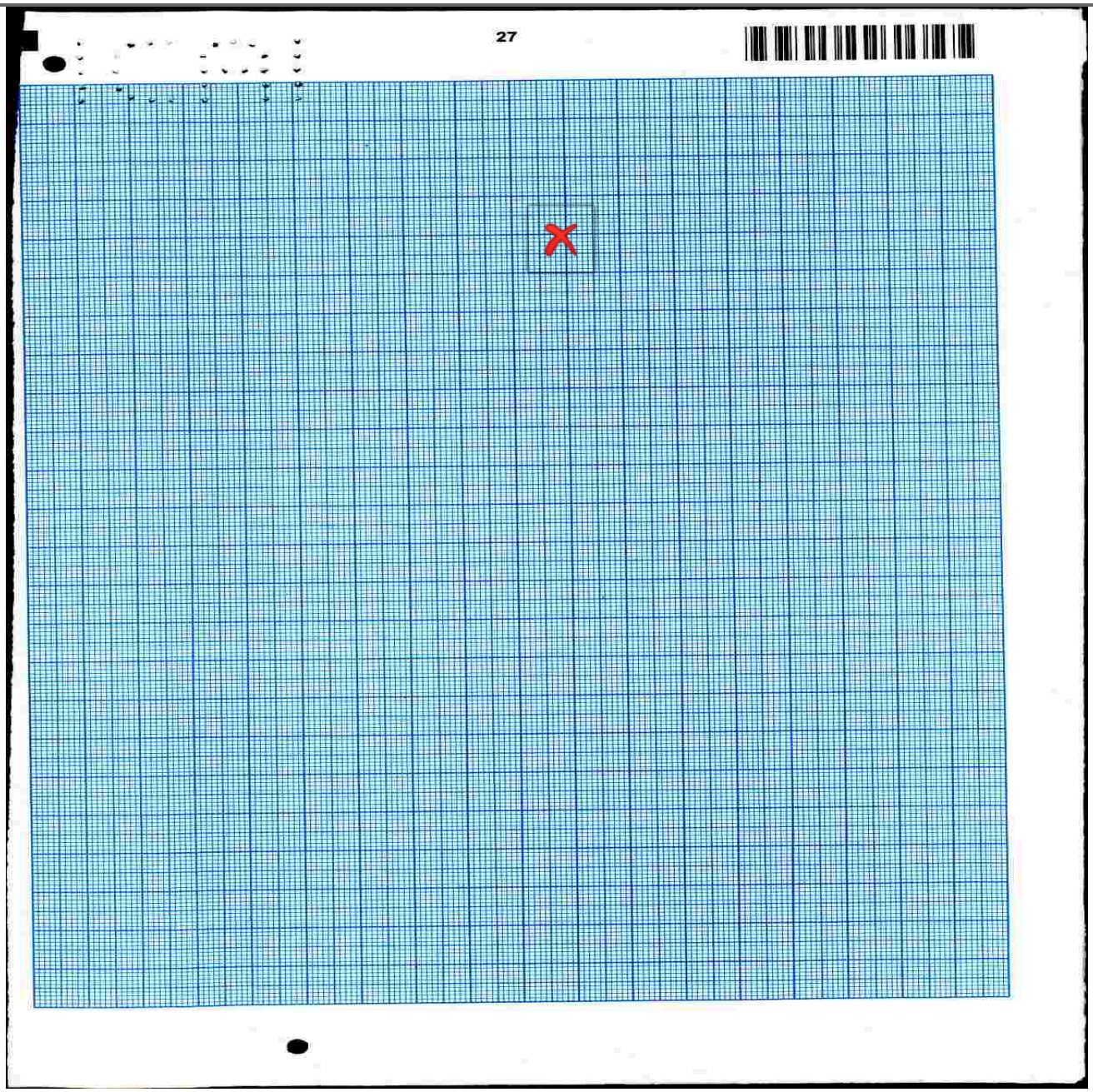
Note: This Bonus is to be given only to minority holders.

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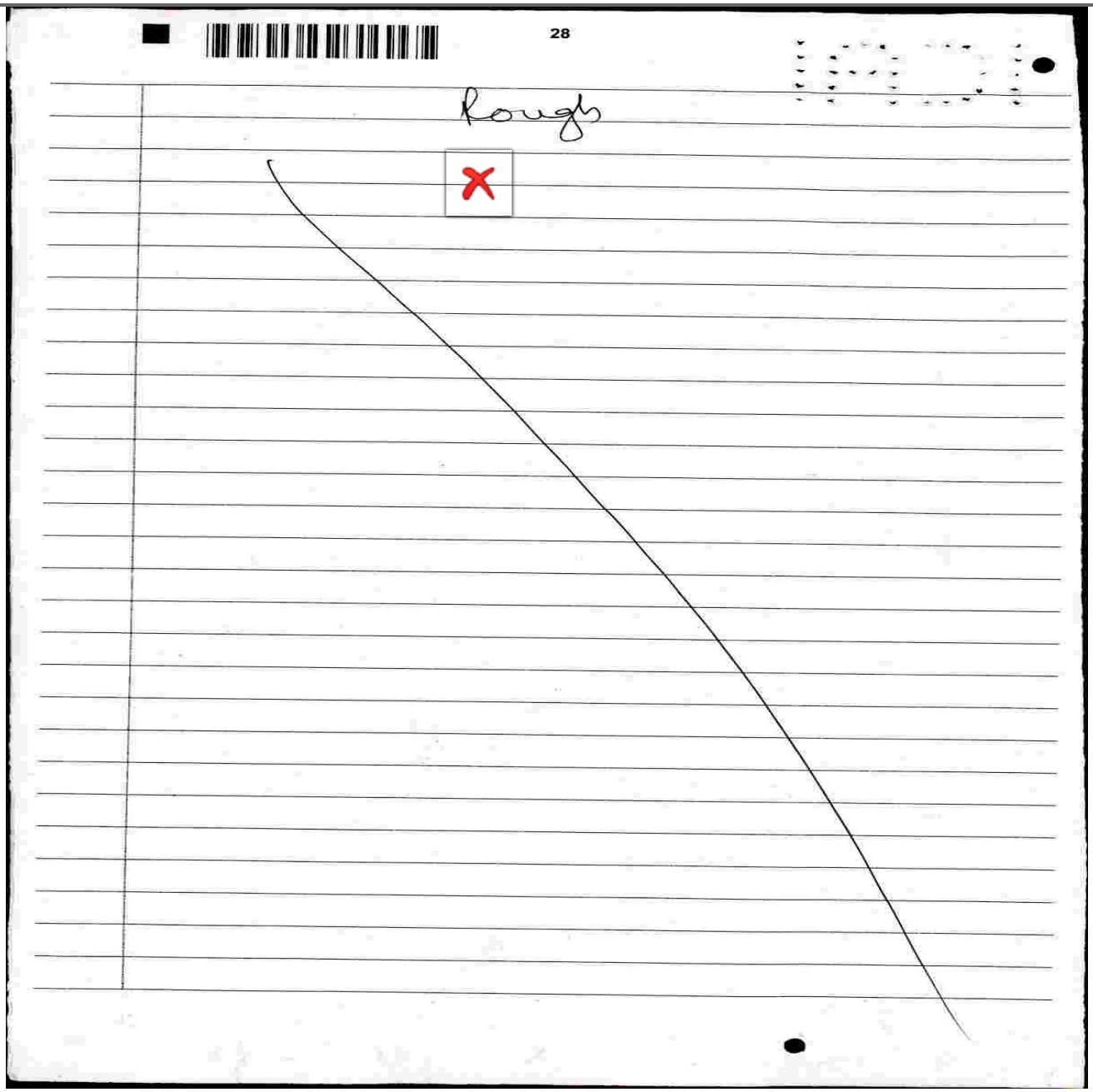
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|---|---|---|---|
| **Code:** | **FN2AF145445** | **Total Marks:** | **70** |
| **Subject :** | **02 Advanced Financial Management** | **Marks Obtained :** | **46** |



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|---|---|---|---|
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| | | | |
|---|---|---|---|
| **Code:** | **FN2AF145445** | **Total Marks:** | **70** |
| **Subject :** | **02 Advanced Financial Management** | **Marks Obtained :** | **46** |

2145445-01

Addl. Book No. ..... 1 .....

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Q1]
b] Continuation

(iii) Market Price Per share after bonus.
Assuming Market Capitalization will not change due to bonus, which is the most logical assumption.

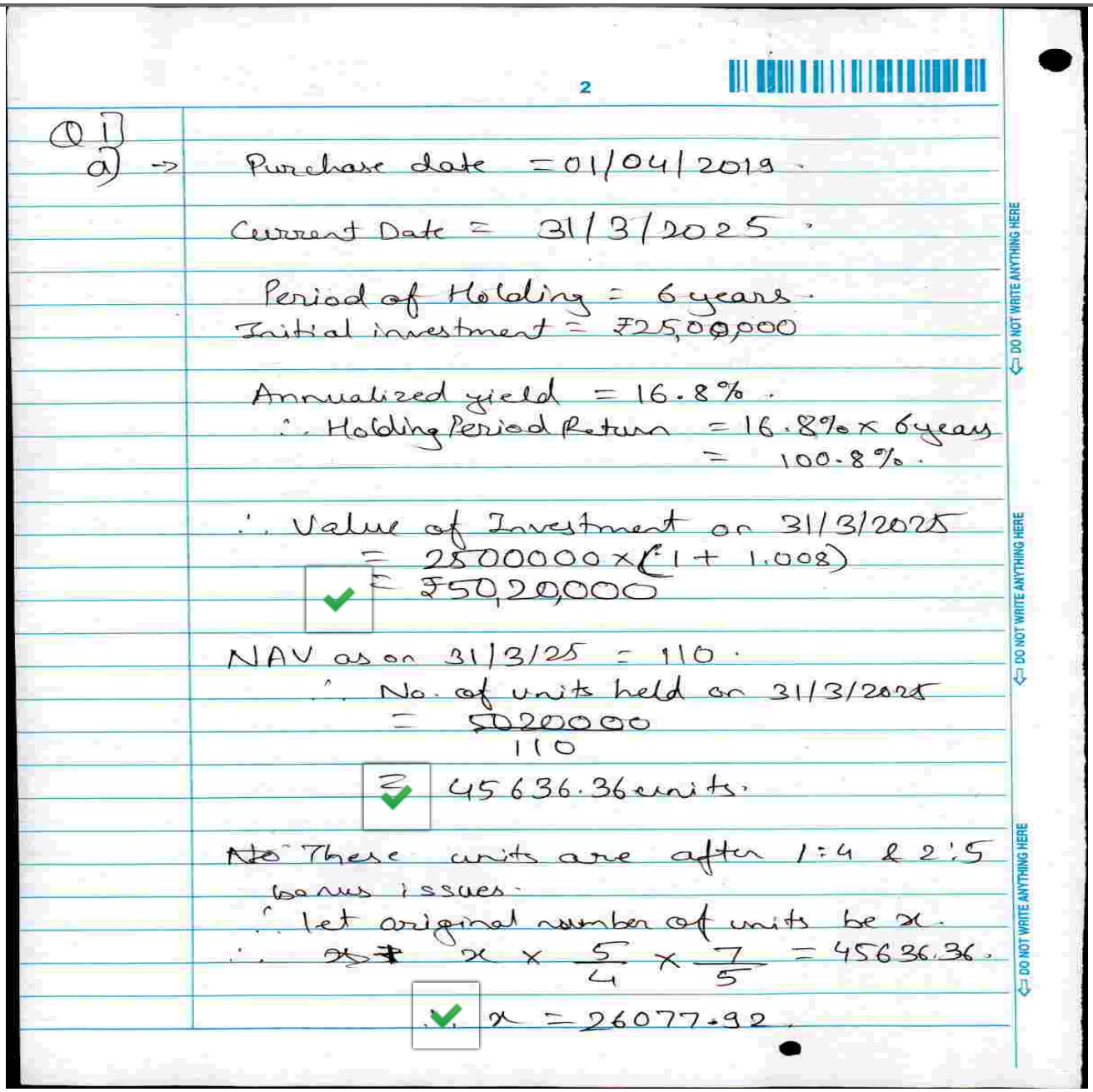
Market Price per share = Market Capitalization / Total No. of Shares Post bonus

= 240 cr / 168 lakhs

= ₹142.86/share (Rounded off).

R 4 1bStep1 R 4 1b

(iv) Post Bonus Free float Market Capital
= ₹142.86 × [24L + 18L]
= ₹6000 lakhs.
= 60 crores



2

Q 1]
a) → Purchase date = 01/04/2019.

Current Date = 31/3/2025.

Period of Holding = 6 years.
Initial investment = ₹25,00,000

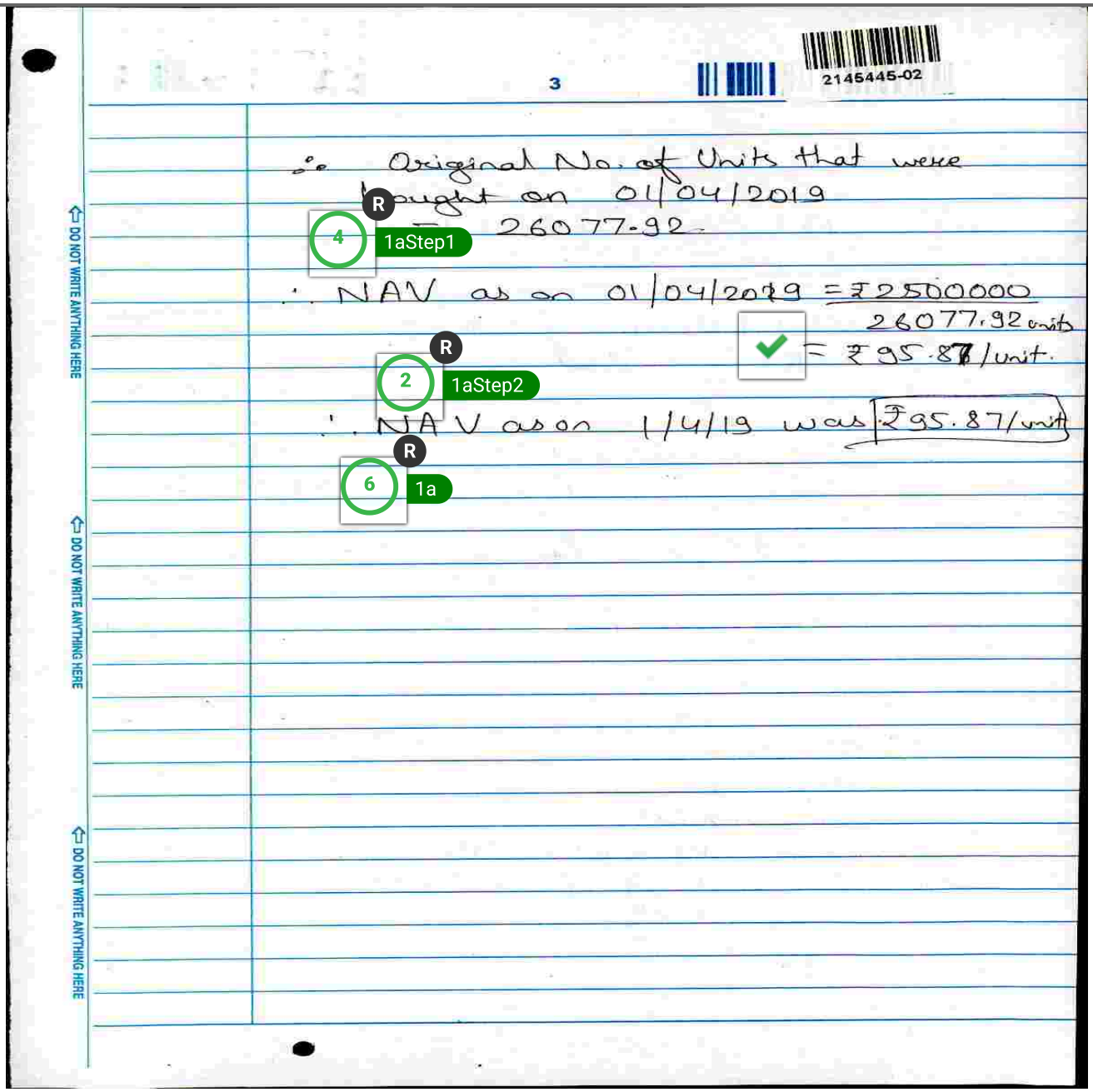
Annualized yield = 16.8%.
∴ Holding Period Return = 16.8% × 6 years
= 100.8%.

∴ Value of Investment on 31/3/2025
= 2500000 × (1 + 1.008)
= ₹50,20,000

NAV as on 31/3/25 = 110.
∴ No. of units held on 31/3/2025
= 5020000 / 110
= 45636.36 units.

Note: These units are after 1:4 & 2:5 bonus issues.
∴ let original number of units be x.
∴ $x \times \frac{5}{4} \times \frac{7}{5} = 45636.36$.
∴ $x = 26077.92$.

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3
2145445-02
∴ Original No. of Units that were bought on 01/04/2019
26077.92
R
4
1aStep1
∴ NAV as on 01/04/2019 = ₹ 2500000
26077.92 units
= ₹ 95.87/unit.
R
2
1aStep2
∴ NAV as on 1/4/19 was ₹ 95.87/unit
R
6
1a
DO NOT WRITE ANYTHING HERE
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4

Q 4]

b] Net Profit = ₹84 Lakh.
Tax = 30%.

Market Value of Patent = 100 Lakh.
(Not recorded in books)

Net Worth = ₹200 Lakh.
Revised Net Worth = ₹200 L + ₹100 L
(After considering Patent). = ₹300 L

Debt = ~~₹900 to~~ ₹400 Lakh.

∴ Invested Capital = 400 + 300 = 700 Lakh

$R_f$ = 10%.
$R_m$ = 14%.
$\beta$ = 1.
~~∴ Ke = 10% +~~
Using CAPM
$K_e = R_f + \beta(R_m - R_f)$
$= 10\% + 1\,(14\% - 10\%)$
$K_e = 14\%$

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Addl. Book No. ...2.....

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Q4) b) ~~Ans~~ [Continuation]

Assuming Interest on Debt = Rf

∴ Interest cost = 10%.

∴ Kd = Int (1 − t)
= 10% (1 − 30%)
= 7%.

$$WACC = Ke \times \frac{E}{E+D} + Kd \times \frac{D}{E+D}$$

$$= 14\% \times \frac{300}{700} + 7\% \times \frac{400}{700}$$

= 6% + 4%

WACC. = 10%. ✔

| (i) Operating Profit (EBIT) | | Working |
|---|---|---|
| EBIT | 160L | |
| (−) Interest [400 × 10%] | 40L | |
| EBT [84L / 70%] | 120L | (100) |
| (−) Tax (30%) | (36L) | 30 |
| EAT. | 84 Lakh. (Given) | 70 |

2

∴ EBIT i.e Operating Profit = 160 Lakh

NOPAT = EBIT × (1-t)
= 160L × (1-30%)
= 112L

∴ EVA = NOPAT − [Invested Capital × WACC]
= 112 Lakh − [700L × 10%]
= 112 Lakh − 70L
EVA = 42 Lakh

iii) Dividend which can be paid before profit starts declining
= EVA / No. of shares
= 42 Lakh / 7 Lakh
= ₹6/Sh.

R 4 4bStep1
R 4 4b
R 7 4

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3

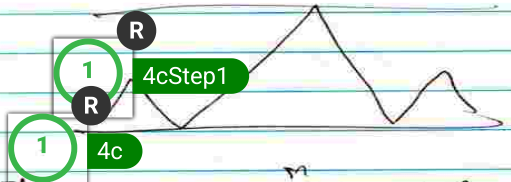
2145445-04

c] → Scenario 1



This is an upward trend in which stock price chart makes higher highs & higher lows.
∴ It is expected that prices will rise in future.
Indicate Bull market.

Scenario 3

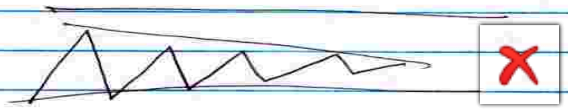



This is a "Head & Shoulder pattern"
It is an ~~ind~~ indecator are downside price moment.
It is an indicator of Bearish Market & prices are expected to fall after the last ~~two~~ low in the diagram.

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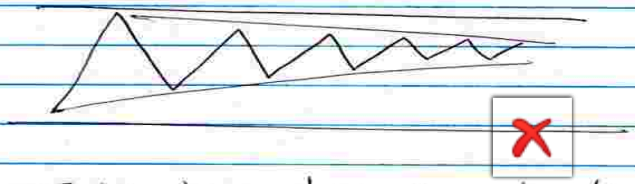
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Scenario 4



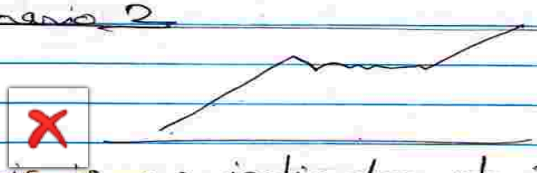
This is a side ways flag pattern indicating a possible Sideways movement of the stock in near future.

Scenario 5



This is also an indicator of flag patter.
This indicates possible trend rev breakout or breakdown in near future

Scenario 2



This is an indicator of Base wave & reactive wave. Ultimately showing Strong Uptrend

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| | | | |
|---|---|---|---|
| **Code:** | **FN2AF145445** | **Total Marks:** | **70** |
| **Subject :** | **02 Advanced Financial Management** | **Marks Obtained :** | **46** |

2145445-05

Addl. Book No. 3

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Q4]

a]

i] ~~Strategy for hedging using cap & floor~~

AB Ltd → Borrower.

Risk of Interest rate Rising.

∴ Should buy a Cap @ Strike Rat of 8%, for 5 years of Principal amount = 5 million

Lumpsum premium = 5 million × 0.4%

= ₹ 0.02 million.

(= ₹ 20000)

Also borrow from Market @ PLR + 0.5%.

XY Ltd → Investor / Depositor

Risk of Interest rate falling.

∴ Should buy a Floor @ strike Rate of 8%. for 3 years of Principal amount of ₹ 2 million

∴ Lumpsum premium paid = 2 million × 0.5%

= 0.01 million

(= ₹ 10000 ₹.)

Also Lend/Deposit in Market @ PLR - 0.5%.

R 2 4aStep1

2

ii] Premium Paid by
AB Ltd = ₹ 20000
XY Ltd = ₹ 10000

iii] Net Gain Loss

AB Ltd. (Cap @ 8%)

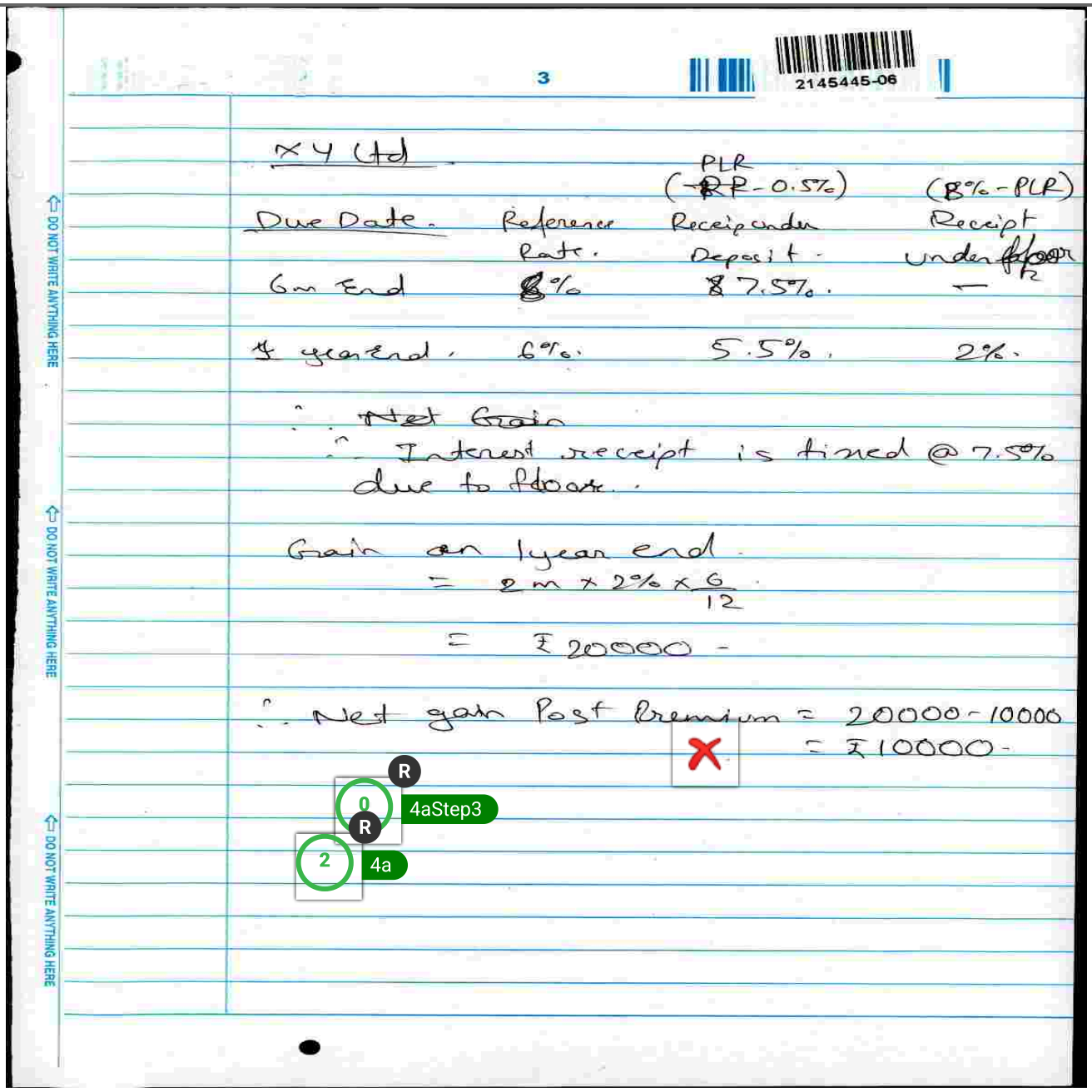
| Due Date | Reference Rate on Reset Date. | (PLR + 0.5%) Payment Under Borrowing. | (RR - 8%) Receipt under cap. |
|---|---|---|---|
| 6m end. | 8% | 8.5%. | — |
| 1 year End | 10%. | 10.5%. | 2%. |

∴ Net Cost in each case is 8.5%.

∴ Savings on interest paid at 1 year end
= 5m × 2% × 6/12
= 50000.

Net gain Post premium = ~~50000 - 2000~~
till year 1 end = 50000 - 20000
= 30000 —

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3

2145445-06

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× 4 (Hd)

| Due Date. | Reference Rate. | PLR (~~PLR~~ - 0.5%) Receipt under Deposit. | (8% - PLR) Receipt under floor |
|---|---|---|---|
| 6m End | ~~8~~% | ~~8~~ 7.5%. | — |
| 1 year end. | 6%. | 5.5%. | 2%. |

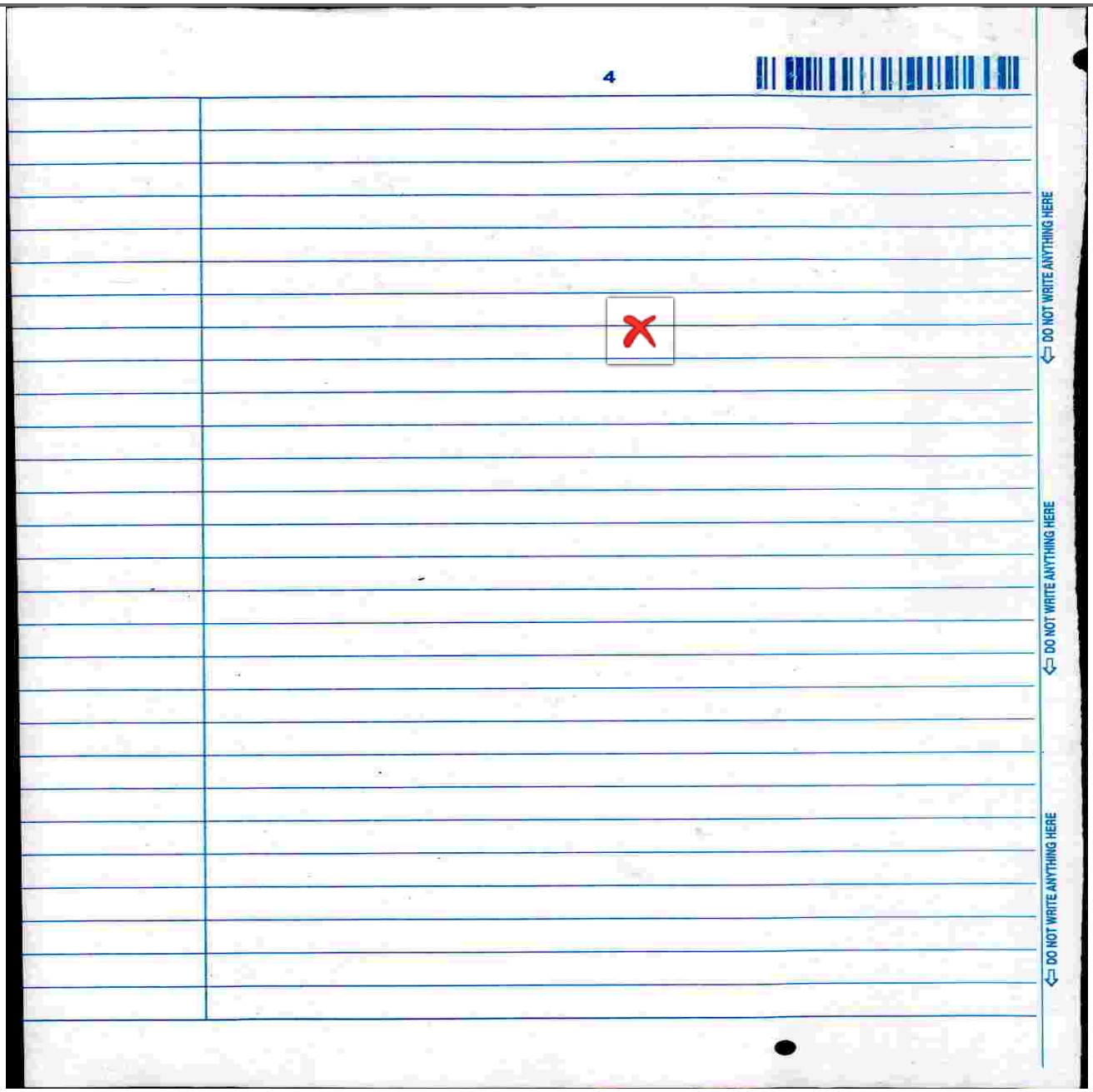
∴ ~~Net Gain~~
∴ Interest receipt is fixed @ 7.5% due to floor.

Gain on 1 year end
$= 2m \times 2\% \times \frac{6}{12}$
$= ₹ 20000$ -

∴ Net gain Post Premium = 20000 - 10000
= ₹ 10000 -

R
0
4aStep3
R
2
4a

| | | | |
|---|---|---|---|
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# The Institute of Chartered Accountants of India

Code: FN2AF145445
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 46

## Result Overview

**Awarded Marks:** 46 **Max Marks:**70

NA Not Attempted O Optional M Marked

**Q1_Compulsory (Score: 13/14 )**

| Question No | Awarded Marks | Maximum Marks | Status |
|---|---|---|---|
| 1 | 13 | 14 | M |
| 1a | 6 | 6 | M |
| 1b | 4 | 4 | M |
| 1c | 3 | 4 | M |

**Q2_Q6 (Score: 33/56 )**

| Question No | Awarded Marks | Maximum Marks | Status |
|---|---|---|---|
| 2 | 0 | 14 | O |
| 2a | 0 | 6 | O |
| 2b | 0 | 4 | O |
| 2c | 0 | 4 | O |
| 3 | 9 | 14 | M |
| 3a | 3 | 6 | M |
| 3b | 2 | 4 | M |
| 3c | 4 | 4 | M |
| 4 | 7 | 14 | M |

| | | | |
|---|---|---|---|
| 4a | 2 | 6 | M |
| 4b | 4 | 4 | M |
| 4c | 1 | 4 | M |
| 5 | 5 | 14 | M |
| 5a | 2 | 8 | M |
| 5b | 3 | 6 | M |
| 6 | 12 | 14 | M |
| 6a | 5 | 6 | M |
| 6b | 4 | 4 | M |
| 6c | 3 | 4 | M |